

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 22-31

TPG PRESSURE, INC.,
COMPLAINANT

v.

OMNI LOGISTICS, LLC, *et al.*,
RESPONDENTS.

**COMPLAINANT’S REPLY IN FURTHER SUPPORT OF ITS
PROPOSED FINDINGS OF FACTS**

Complainant TPG Pressure, Inc. (“TPG”) submits this Reply in further support of its Proposed Finding of Fact.

A. The Parties

1. TPG Pressure, Inc.

1. TPG is a corporation organized under the laws of the State of Texas with a principal place of business at 1003 Macarthur Blvd, Grand Prairie, TX 75050. (Basiri Decl. ¶ 2, Feb. 22, 2024.)

RESPONSE: Not disputed.

REPLY: None.

2. TPG is a supplier and installation contractor of concrete, steel, fiberglass, and polymer pipes and structures used for drainage, sanitary, pressure, and trenchless applications. Products used by TPG are imported from outside the United States, including from such countries as Turkey, Colombia, and others. (Basiri Decl. ¶ 3.)

RESPONSE: Not disputed.

REPLY: None.

B. Epic Freight Solutions, LLC

3. Epic Freight Solutions, LLC (“**Epic**”) was and is a limited liability company organized under the laws of the State of Wyoming, with its current mailing address at 3200 Olympus Blvd., Suite 300, Dallas, Texas 75019. (Resp’ts’ Answer & Affirmative Defenses to First Am. V. Compl. ¶ 3 (admitted) May 2, 2023, CApp10996-11007 at 97.)

RESPONSE: Not disputed.

REPLY: None.

4. Epic was a licensed non-vessel-operating common carrier (“**NVOCC**”), with license number 027656 from on or about June 14, 2019, until at least the date of the Notice of Filing of this action on November 29, 2022. (Epic Freight Solutions LLC FMC Tariff No. 001 (hereinafter, “**Epic’s Tariff**”), CApp10749-893; Resp’ts’ Answer & Affirmative Defenses to First Am. V. Compl. ¶ 5 (admitted), CApp10996-11007 at 97.)

RESPONSE: Not disputed.

REPLY: None.

5. Epic’s Tariff was published and available to the public for a fee. (Epic’s Tariff, CApp10749-893.)

RESPONSE: Not disputed.

REPLY: None.

6. Epic was also licensed as an ocean freight forwarder at all relevant times. (Federal Maritime Commission website, <https://www2.fmc.gov/oti/FF.aspx> (last visited October 5, 2022).)

RESPONSE: Not disputed.

REPLY: None.

7. Epic’s logo includes a vessel among other forms of transportation. (See, Ex. A to First Am. V. Compl., served Feb. 27, 2023, CApp10494-548 at 518.)

RESPONSE: Not disputed.

REPLY: None.

8. Epic’s email signatures contained language stating that they offered ocean shipments. (Email from Ikemoto to Manzanarez, dated Oct. 22, 2021, CApp10557.)

RESPONSE: Partially disputed. The referenced email footer reads:

“Congestion in all the major ports (air and ocean) in North America has caused delays, diminished capacity, additional fees, surcharges including the standard per diem, demurrage, chassis, chassis splits, pre-pulls and weekend pickups/deliveries, and storage. As always Epic Freight Solutions will be very transparent throughout the entire process.

We will communicate and address the situations as they arise. We will stand by our quote however cannot be responsible for the aforementioned accessories as they simply cannot be anticipated. We appreciate your support during this latest wave of congestion as the world begins to open up businesses, that all call on North American ports.”

(CApp10557.)

REPLY: None.

9. At the time Epic was retained to ship TPG’s cargo subject to this action, Epic maintained a public website where it advertised its shipping and freight services as “all in”, “door-to-door” and “door-to-port” for “international shipping needs.” *See*, Ex. A to First Am. V. Compl., CApp10494-548 at 518-20.)

RESPONSE: Not disputed.

REPLY: None.

C. **Omni Logistics, LLC**

10. Omni Logistics LLC was and is a limited liability company organized under the laws of the State of Delaware with its current mailing address at 3200 Olympus Blvd., Suite 300, Dallas, Texas 75019. (Resp’ts’ Answer & Affirmative Defenses to First Am. V. Compl. ¶ 4 (admitted), CApp10996-11007 at 97.)

RESPONSE: Not disputed, except to correct the proper legal entity’s name as Omni Logistics, LLC.

REPLY: None.

11. Omni was licensed as an NVOCC with license No. 18469 from at least June 14, 2019 until at least the date of the Notice of Filing of this action on November 29, 2022 (“**Omni’s Tariff**”, dated June 14, 2019, CApp10720-48; Resp’ts’ Answer & Affirmative Defenses to First Am. V. Compl. ¶ 6 (admitted), CApp10996-11007 at 97.)

RESPONSE: Not disputed.

REPLY: None.

12. Omni’s Tariff was published and available to the public for a fee. (Omni’s Tariff. CApp10720-48.)

RESPONSE: Not disputed.

REPLY: None.

13. Omni is also licensed as an ocean freight forwarder. (Ex. A to First. Am. Compl. CApp10494-548 at 513.)

RESPONSE: Not disputed.

REPLY: None.

14. Omni maintained a public website where it advertised its shipping and freight services as “all in” or “door-to-door”, including “ocean freight” and “overseas shipping” for international shipping needs. (Ex. A to First Am. V. Compl., CApp10512-17.)

RESPONSE: Partially disputed. To provide context for the excerpted quoted language, the referenced website states:

“Ocean freight and overseas shipping solutions that are ALL IN for you.” (CApp010512 (emphasis in original).)

“When it comes to dependable ocean freight solutions, we’re ALL IN.” (CApp010516 (emphasis in original).)

REPLY: By way of reply and to provide additional context, Omni’s website made the following representations:

**Ocean freight experience
you can trust.**

Omni has the kind of ocean freight experience that you expect from a leader. We are an experienced *Non Vessel Operating Common Carrier (NVOCC)* for all major international carriers. Through our global network of experienced professionals and discounted contract pricing, we provide an integrated solution of *ocean freight services*. As an ocean freight forwarder, Omni assigns cargo, arranges pickup and delivery locations and streamlines document management to guarantee the uninterrupted flow of goods.

**Ocean freight transportation that does it
all.**

We offer a multitude of ocean freight transportation options, all designed and customized to fit your company’s needs.

- Full Container Load Service (FCL)
- Less than Container Load Service (LCL)
- Multimodal Solutions
- Discounted Pricing Structures
- Fragile and / or Oversized Equipment Moves
- Specialized Container Services (e.g., Flat

- Rack, OOG, etc.)
- Project Cargo (Oversized/Non-Containerized)
- Customized Consolidation Programs
- Dangerous Goods Transportation
- ***Door-to-Port / Port-to-Door Services***

CApp10512-13 (emphasis in bold and italic added; bold is in the original)

15. Omni’s public website touted its NVOCC status. (Ex. A to First Am. V. Compl., CApp10512-17.)

RESPONSE: Not disputed.

REPLY: None.

16. Omni published its Terms and Conditions on its website on its own behalf and on behalf of its subsidiaries. (Ex. B to First Am. V. Compl., CApp10522- 39 (Omni’s Business Terms, ¶ 1 Definitions (B) “‘Company’ shall mean Omni Logistics, LLC, its subsidiaries, affiliates, related companies, agents and/or representatives”).)

RESPONSE: Partially disputed. Epic’s Terms and Conditions continued to be incorporated into Epic’s quotes to TPG after April 2, 2021 (*See, e.g.* CApp010161.)

REPLY: By way of reply and to provide additional context, starting from the summer of 2021, TPG’s Purchase Orders were issued to Omni and not to Epic. (*See, e.g.* CApp010202-04).

17. Omni’s Terms and Conditions refer to the Hague Rules and Hague-Visby Rules applicable to ocean carriers, and to the Carriage of Goods by Sea Act. (*Id.* at ¶ 5, Remedies and Limitations of Liability (“Customer agrees that Omni’s liability to Customer and/or any customer, client, shipper, or consignee of Customer (a “Shipping Party”) for Cargo lost or damaged shall be governed by the liability provisions contained in the following international conventions or statutes, as applicable and without limitation: ... the International Convention for the Unification of Certain Rules Relating to Bills of Lading, August 25, 1924 (the “Hague Rules”); the Protocol to Amend the Hague Rules, February 23, 1968 (“Hague-Visby Rules”)...”).

RESPONSE: Partially disputed. This is not a complete recitation of Omni’s Terms and Conditions. (Ex. B to First Am. V. Compl.)

REPLY: None.

18. Omni’s Terms and Conditions seeks to limit Omni’s and its subsidiaries’ liability for loss of cargo. (*Id.*, CApp10522- 39.)

RESPONSE: Not disputed.

REPLY: None.

1. ***TPG Begins Working with Epic***

19. TPG began working with Epic on or about 2015-2016. (*See*, Manzanarez Dep. (Epic) 44:8-10, Sept. 28, 2023, CApp10220.)

RESPONSE: Not disputed.

REPLY: None.

20. TPG “is not in the business of shipping. [TPG does not] know what goes and what variabilities we had to deal with. [The Respondents] are the experts in this business so [TPG] asked them to price everything from point A to point [Z].” (*See*, Basiri Dep. 53:21-24 Sept. 14, 2023 (CApp10396).)

RESPONSE: Partially disputed. While TPG may not be *primarily* “in the business of shipping,” shipping is a significant part of TPG’s work on behalf of its customers, and TPG was well aware of many of the challenges in the supply chain at the relevant times and the associated costs of shipping. (Heaton Tr. at 84:12-25 (RApp28), 85:1-5 (RApp28), 82:3-5 (RApp28), 86:9-12 (RApp29).)

REPLY: None.

21. TPG relied on Epic to provide ocean and other transportation services for TPG’s Shipments from ports outside the United States to ports in the United States or to TPG’s job sites in the United States through ports in the United States via ocean carriage. (Basiri Decl. ¶ 13, 14; Shipment Chart, CApp11020.)

RESPONSE: **Partially** disputed. Some of TPG’s shipments were from ports outside the United States to ports in Canada. (Basiri Tr. (Sep. 14) at 102:20-24, 106:1-8; CApp010409-10.) In addition, TPG sometimes made its own arrangements for inland transportation through other logistics providers. (Heaton Tr. 93:5-9 (RApp31).) The Shipment Chart is inadmissible hearsay and lacks foundation.

REPLY. By way of reply, the Shipment Chart is admissible pursuant to Federal Rules of Evidence 611(a). *See, e.g., Worldwide Relocations, Inc. et al - Possible Violations of Sections 8, 10, and 19 of the Shipping Act of 1984 and the Commission's Regulations at 46 C.F.R. §§ 515.3, 515.21, and 520.3*, 2010 FMC LEXIS 45, *1, 2010 WL 11768817 *34-35 (F.M.C. Aug. 16, 2010) (admitting the shipment charts and supplemental shipment charts provided by BOE under Rule 611(a) to assist in organizing and reviewing the shipments).

22. TPG’s understanding, when contracting with Epic and later Omni, was that Respondents were “responsible for arranging shipping [TPG]’s goods from the time the container or flatbed was loaded at [TPG]’s facility all the way to the point where it was unloaded by [TPG]’s clients in the United States.” (*See*, Basiri Dep. 53:3-7, Sept. 14, 2023, CApp10396.)

RESPONSE: Partially disputed. Epic is the party who performed the services on behalf of TPG. (Manzanarez Tr. at 13:18-23, 35:3-6, 36:14-19 (CApp010212, CApp010218); Ikemoto Tr. at 12:17-25 (CApp010292).) In addition, TPG sometimes made its own arrangements for inland transportation through other logistics providers. (Heaton Tr. 93:5-9 (RApp30).)

REPLY. By way of reply, starting from about summer 2021, TPG issued purchase orders to Omni. (See, e.g. CApp010202-04). Invoices to TPG were issued by Omni starting from about January 2022. (See Appendix Vol. VII, Shipping Chart, Column C).

23. TPG would email Epic requesting a quote for a particular construction project, specifying the estimated number of containers, the origin, and the destination, and Epic would respond with the freight cost, pre pull cost, chassis cost and minimum days, handling fee, ISF charge, customs clearance charge, and wait time rate, as well as the terms (for example, door to door). (Basiri Decl. ¶ 9; see also, e.g., CApp10122-200.)

RESPONSE: Not disputed. Respondents also note that every quote provided by Epic included language indicating that all shipments were subject to Epic's Terms and Conditions. (See, e.g., CApp10186.)

REPLY: None.

24. Sometimes TPG accepted the initial offer, sometimes TPG asked if the rate could be improved. (Basiri Decl. ¶ 11.)

RESPONSE: Not disputed.

REPLY: None.

25. Epic and later Omni then provided services to TPG on the basis of purchase orders, which listed freight service rates and other rates, and which TPG issued to Epic. (Basiri Decl. ¶ 11; see also, e.g., CApp10201-08.)

RESPONSE: Partially disputed. Epic is the party who performed the services on behalf of TPG. (Manzanarez Tr. at 13:18-23, 35:3-6, 36:14-19 (CApp010212, CApp010218); Ikemoto Tr. at 12:17-25 (CApp010292).) Epic also provided the services to TPG based on Epic's Terms and Conditions. (See, e.g., CApp10186; Basiri Tr. at 44:15-18 (CApp010394; Manzanarez Tr. 111:24-25 – 112:1-2 (CApp010237) (subjecting TPG's shipments to Epic's terms and conditions "was still the standard practice throughout the shipments that are at issue here.")).)

REPLY. By way of reply, starting from about summer 2021, TPG issued purchase orders to Omni. (See, e.g. CApp010202-04). Invoices to TPG were issued by Omni starting from about January 2022. (See Appendix Vol. VII, Shipping Chart, Column C).

26. Epic and Omni issued invoices for services to TPG after services were rendered. (Basiri Decl. ¶ 12; see also Shipment Chart, CApp11020.)

RESPONSE: Partially disputed. Epic is the party who performed the services on behalf of TPG. (Manzanarez Tr. at 13:18-23, 35:3-6, 36:14-19 (CApp010212, CApp010218); Ikemoto Tr. at 12:17-25 (CApp010292).) Omni merely performed back-office services, including the issuance of invoices for Epic's services on behalf of Epic. (Respondents' Responses to TPG's Interrogatory No. 15 (CApp010912.) The Shipment Chart is inadmissible hearsay and lacks foundation.

REPLY. By way of reply, starting from about summer 2021, TPG issued purchase orders to Omni. (See, e.g. CApp010202-04). Invoices to TPG were issued by Omni starting from about January

2022. (See Appendix Vol. VII, Shipping Chart, Column C). The Shipment Chart is admissible pursuant to Federal Rules of Evidence 611(a). See, e.g., *Worldwide Relocations, Inc. et al - Possible Violations of Sections 8, 10, and 19 of the Shipping Act of 1984 and the Commission's Regulations at 46 C.F.R. §§ 515.3, 515.21, and 520.3*, 2010 FMC LEXIS 45, *1, 2010 WL 11768817 *34-35 (F.M.C. Aug. 16, 2010) (admitting the shipment charts and supplemental shipment charts provided by BOE under Rule 611(a) to assist in organizing and reviewing the shipments).

27. Epic and Omni's invoices included a line item for "freight". (Shipment Chart CApp11020.)

RESPONSE: Not disputed. The Shipment Chart is inadmissible hearsay and lacks foundation.

REPLY. By way of reply, the Shipment Chart is admissible pursuant to Federal Rules of Evidence 611(a). See, e.g., *Worldwide Relocations, Inc. et al - Possible Violations of Sections 8, 10, and 19 of the Shipping Act of 1984 and the Commission's Regulations at 46 C.F.R. §§ 515.3, 515.21, and 520.3*, 2010 FMC LEXIS 45, *1, 2010 WL 11768817 *34-35 (F.M.C. Aug. 16, 2010) (admitting the shipment charts and supplemental shipment charts provided by BOE under Rule 611(a) to assist in organizing and reviewing the shipments).

28. Epic's (and later Omni's) services to TPG were generally provided on a door-to-door basis. (Ikemoto Dep. (Epic) 46:11-14, Sept. 29, 2023, CApp010301; see also, e.g., CApp10122-200; Basiri Decl. ¶ 14.)

RESPONSE: Partially disputed. Epic is the party who performed the services on behalf of TPG. (Manzanarez Tr. at 13:18-23, 35:3-6, 36:14-19 (CApp010212, CApp010218); Ikemoto Tr. at 12:17-25 (CApp010292).)

REPLY. By way of reply, starting from about summer 2021, TPG issued purchase orders to Omni. (See, e.g. CApp010202-04). Invoices to TPG were issued by Omni starting from about January 2022. (See Appendix Vol. VII, Shipping Chart, Column C).

2. Omni Purchases Epic In 2021

29. Starting November 2020, TPG started receiving invoices from Epic directing payment to be made to Omni. (See, e.g., Shipment Chart, CApp11020.)

RESPONSE: Disputed. Omni did not acquire Epic until April 2, 2021. Omni and Epic had no legal relationship in November 2020 (Manzanarez Tr. At 13:18-23 (CApp010212)), and none of the invoices dated November 2020 direct payments to be made to Omni. The Shipment Chart is inadmissible hearsay and lacks foundation.

REPLY. By way of reply, the following invoices issued by Epic in November 2020 directed payment to be made to Omni:

Invoice No.	Invoice Date	Payee	Appendix pages

1489082 00	11/15/2020	Omni Logistics, LLC	CApp000003
1493903 00	11/28/2020	Omni Logistics, LLC	CApp000006
1493904 00	11/28/2020	Omni Logistics, LLC	CApp000007
1493905 00	11/28/2020	Omni Logistics, LLC	CApp000008-9
1493908 00	11/28/2020	Omni Logistics, LLC	CApp0000012
1493909 00	11/28/2020	Omni Logistics, LLC	CApp0000013
1493912 00	11/28/2020	Omni Logistics, LLC	CApp0000014
1493906 00	11/30/2020	Omni Logistics, LLC	CApp0000010-11
1494977 01	12/9/2020	Omni Logistics, LLC	CApp0000017

Further, the Shipment Chart is admissible pursuant to Federal Rules of Evidence 611(a). *See, e.g., Worldwide Relocations, Inc. et al - Possible Violations of Sections 8, 10, and 19 of the Shipping Act of 1984 and the Commission's Regulations at 46 C.F.R. §§ 515.3, 515.21, and 520.3*, 2010 FMC LEXIS 45, *1, 2010 WL 11768817 *34-35 (F.M.C. Aug. 16, 2010) (admitting the shipment charts and supplemental shipment charts provided by BOE under Rule 611(a) to assist in organizing and reviewing the shipments).

30. Effective April 2, 2021, Omni purchased Epic (the “**Merger**”). (Manzanarez Dep. (Epic) 12:22-23, CApp010212; Amended & Restated Operating Agreement of Epic Freight Solutions LLC, dated April 2, 2021 (hereinafter, “**Epic Operating Agreement**”), CApp10895-903.)

RESPONSE: Partially disputed. Until April 2023, “[Epic’s] structure internally and [its] responsibilities” did not change; “everything was business as usual, and [Epic] still continued to operate as Epic.” (Manzanarez Tr. at 36:14-19 (CApp010218).) Until April 2023, Epic and Omni maintained separate profit and loss statements. (Ikemoto Tr. at 18:12-14 (CApp010294).) During that period, Omni merely performed back-office services, including the issuance of invoices for Epic’s services on behalf of Epic. (Respondents’ Responses to TPG’s Interrogatory No. 15 (CApp010912).) Until April 2023, “[Epic’s] structure internally and [its] responsibilities” did not change; “everything was business as usual, and [Epic] still continued to operate as Epic.” (Manzanarez Tr. at 36:14-19 (CApp010218).) There has been no legal merger of Epic into Omni and each entity remains separate business entities (2023 Limited Liability Company Annual Report (RApp75-76)), although their business operations were integrated in or around April 2023.

(Manzanarez Tr. (Omni) at 13:18-23 (CApp010212).) Respondents object to each and every use of Complainant's defined term "Merger" as it assumes facts not in evidence.

REPLY: Mr. Manzanarez stated in the deposition:

22 A. So Epic was purchased by Omni Logistics in
23 April of 2021. As part of the structure of the deal,
24 there was a cash component, there was a stock component,
25 and there was an earn-out component.

Mr. Manzanarez was deposed as the representative of Epic and his statement is admissible under FRE 801. Further, by way of context, key employees of Epic became employees of Omni as of at least April 2021. (Manzanarez Dep. 14:9-16, CApp010213 (admitting he signed an agreement with Omni in April of 2021 stating he is no longer an employee of Epic, and that he was, from then on, an employee of Omni).) Manzanarez became Omni's Executive Vice President of Sales. (Manzanarez Dep. 15:2-10, CApp010213.) John Moran was CEO of Epic and became regional president of Omni. (Manzanarez Dep. 16:1-25, CApp010213.) Accordingly, Epic business decisions were being made by Omni personnel and the two entities were not operating as distinct entities but as one.

31. As part of the Merger, Epic became Omni's wholly owned subsidiary effective April 2, 2021. (Resp'ts' Answer & Affirmative Defenses to First Am. V. Compl. ¶ 14 (admitted), CApp10996-11007 at 98.)

RESPONSE: Not disputed.

REPLY: None

32. Accordingly, Omni terms and conditions applied to all business between Omni and Epic going forward. (Ex. B to First Am. V. Compl., CApp 10522- 39.)

RESPONSE: Disputed. Epic's Terms and Conditions continued to be incorporated into Epic's quotes to TPG after April 2, 2021 (*See, e.g.* CApp010161.)

33. **REPLY:** TPG issued Purchase Orders to Omni and not Epic starting at least July 2021 (CApp010204.). Invoices to TPG were issued by Omni starting from about January 2022. (*See* Appendix Vol. VII, Shipping Chart, Column C). Omni. Attached as Exhibit A is a list of 617 invoices issued to TPG by Omni. The list is admissible pursuant to Federal Rules of Evidence 611(a). *See, e.g., Worldwide Relocations, Inc. et al - Possible Violations of Sections 8, 10, and 19 of the Shipping Act of 1984 and the Commission's Regulations at 46 C.F.R. §§ 515.3, 515.21, and 520.3, 2010 FMC LEXIS 45, *1, 2010 WL 11768817 *34-35 (F.M.C. Aug. 16, 2010) . [WESTLAW]* (admitting the shipment charts and supplemental shipment charts provided by BOE under Rule 611(a) to assist in organizing and reviewing the shipments). In or about June 2021, Epic and Omni informed TPG that Epic was partnering with Omni as Omni's wholly owned subsidiary. (Manzanarez Dep. (Epic) 27:17-25; 28:15-24, CApp010216.)

RESPONSE: Not disputed.

REPLY: None

34. Epic also informed TPG that it was “rebranding to Omni Logistics LLC” and that its headquarters were now in Dallas, Texas, instead of in California. (Basiri Decl. ¶ 6.)

RESPONSE: Partially disputed. Epic was acquired by Omni but remained a separate legal entity after April 2, 2021. The email footer that informed customers of Epic’s integration with Omni states, “Epic Freight Solutions, LLC has made the decision to partner with Omni Logistics. As a wholly owned subsidiary, Epic Freight Solutions will continue to provide a world-class experience, centered around proactive communication, extreme ownership, and tremendous value. We will continue to share exciting updates in the near future. Thank you for your support.” (CApp011017). Epic’s principal office address remains in Torrance, California. (2023 Limited Liability Company Annual Report, RApp 75-76.)

REPLY: TPG issued Purchase Orders to Omni and not Epic starting at least July 2021 (CApp010204.). Invoices to TPG were issued by Omni starting from about January 2022. (See Appendix Vol. VII, Shipping Chart, Column C). Attached as Exhibit A is a list of 617 invoices issued to TPG by Omni. The list is admissible pursuant to Federal Rules of Evidence 611(a). *See, e.g., Worldwide Relocations, Inc. et al - Possible Violations of Sections 8, 10, and 19 of the Shipping Act of 1984 and the Commission's Regulations at 46 C.F.R. §§ 515.3, 515.21, and 520.3, 2010 FMC LEXIS 45, *1, 2010 WL 11768817 *34-35 (F.M.C. Aug. 16, 2010) (admitting the shipment charts and supplemental shipment charts provided by BOE under Rule 611(a) to assist in organizing and reviewing the shipments).* Further, by way of context, key employees of Epic became employees of Omni as of at least April 2021. (Manzanarez Dep. 14:9-16, CApp010213 (admitting he signed an agreement with Omni in April of 2021 stating he is no longer an employee of Epic, and that he was, from then on, an employee of Omni).) Manzanarez became Omni’s Executive Vice President of Sales. (Manzanarez Dep. 15:2-10, CApp010213.) John Moran was CEO of Epic and became regional president of Omni. (Manzanarez Dep. 16:1-25, CApp010213.) Accordingly, Epic business decisions were being made by Omni personnel and the two entities were not operating as distinct entities but as one.

35. Neither Epic nor Omni disclosed [to] TPG the exact nature of their post-Merger relationship. (Basiri Decl. ¶ 7.)

RESPONSE: Disputed. TPG’s corporate representative voluntarily participated in an interview with Omni prior to Omni’s acquisition of Epic, and accordingly he was aware of Omni’s pending acquisition of Epic. Mr. Basiri also believes he received both an email and a phone call announcing the Merger. (Basiri Tr. (Sep. 14) at 45:21-25, 46:1-8 (CApp010394-95).) Additionally, Epic’s emails contained a message that accurately disclosed that Epic was a wholly owned subsidiary of Omni. (CApp011017).

REPLY: Respondents do not deny that they did not disclose to TPG the exact nature of their post-Merger relationship. (Basiri Decl. ¶ 7.).

36. There was no official communication about this Merger, only a note at the bottom of the signature block in Respondent’s emails. (See, Manzanarez Dep. (Epic) 27:17-25; 28:15- 24, CApp010216; Email dated June 16, 2021, from Manzanarez to Basiri, CApp011020.)

RESPONSE: Disputed. TPG’s corporate representative voluntarily participated in an interview with Omni prior to Omni’s acquisition of Epic, and accordingly he was aware of Omni’s pending acquisition of Epic. Mr. Basiri also believes he received both an email and a phone call announcing the Merger. (Basiri Tr. (Sep. 14) at 45:21-25, 46:1-8 (CApp010394-95).)

REPLY: None.

37. The Merger did not change the people with whom TPG communicated at Epic and later at Omni; the Epic employees TPG dealt with before the Merger became Omni employees in 2021 when Epic transitioned to Omni. (Manzanarez Dep. (Epic) 14:1-21; 36:9-11, CApp010213, CApp010218.)

RESPONSE: Partially disputed. Respondents admit that the day-to-day operations communications were between TPG and legacy Epic employees. (Ikemoto Dep. 149:7-23 (CApp010326).) Beginning a few months after Omni’s acquisition of Epic, Omni employees were involved in communications relating to past-due invoices and collections efforts. (Manzanarez Dep. (Epic) 33:24-34:6 (CApp010217-18).)

REPLY: None.

38. For example, David Ikemoto, Epic’s former Director of International Operations, became Omni’s Logistics Director of International Operations. (Manzanarez Dep. (Epic) 32:1719, CApp010217; Basiri Dep. 46:9-15 (Sept. 14, 2023), CApp10395.)

RESPONSE: Not disputed.

REPLY: None.

39. After the Merger, Epic continued working with the same agents and drayage partners it used prior to the Merger. (Manzanarez Dep. (Epic) 36:3-8, CApp010218.)

RESPONSE: Not disputed as to the agents and drayage partners relevant to this case.

REPLY: None.

3. TPG Retains Epic for the Shipments at Issue In This Case

40. Epic, and later Omni, submitted to TPG quotations for the shipping of TPG’s cargo on the “door-to-door” terms from places outside the United States, such as Colombia, to places within the United States. (*See*, Basiri Decl. ¶ 8, 14.)

RESPONSE: Partially disputed. Epic is the party who performed the services on behalf of TPG. (Manzanarez Tr. at 13:18-23, 35:3-6, 36:14-19 (CApp010212, CApp010218); Ikemoto Tr. at 12:17-25 (CApp010292).) Some of the quotations were for shipments from places outside the United States to places within the United States *via a port in Canada*. (RPFF ¶¶ 59-64.)

REPLY: TPG issued Purchase Orders to Omni and not Epic starting at least July 2021 (CApp010204). Invoices to TPG were issued by Omni starting from about January 2022. (*See* Appendix Vol. VII, Shipping Chart, Column C). Attached as Exhibit A is a list of 617 invoices

issued to TPG by Omni. The list is admissible pursuant to Federal Rules of Evidence 611(a). *See, e.g., Worldwide Relocations, Inc. et al - Possible Violations of Sections 8, 10, and 19 of the Shipping Act of 1984 and the Commission's Regulations at 46 C.F.R. §§ 515.3, 515.21, and 520.3, 2010 FMC LEXIS 45, *1. [WESTLAW]* (admitting the shipment charts and supplemental shipment charts provided by BOE under Rule 611(a) to assist in organizing and reviewing the shipments). Further, by way of context, key employees of Epic became employees of Omni as of at least April 2021. (Manzanarez Dep. 14:9-16, CApp010213 (admitting he signed an agreement with Omni in April of 2021 stating he is no longer an employee of Epic, and that he was, from then on, an employee of Omni).) Manzanarez became Omni's Executive Vice President of Sales. (Manzanarez Dep. 15:2-10, CApp010213.) John Moran was CEO of Epic and became regional president of Omni. (Manzanarez Dep. 16:1-25, CApp010213.) Accordingly, Epic business decisions were being made by Omni personnel and the two entities were not operating as distinct entities but as one.

41. Initially quotes came from Epic and later from Omni. (Basiri Decl. ¶ 7.)

RESPONSE: Disputed. TPG does not establish that quotes came from Omni. (*See generally* CApp01028-010200.)

REPLY: Quotes came from Omni as early as December 2-6, 2021 (CApp010169-70, emails with quote from David Ikemoto at Omni Logistics to Beza Basiri at TPG), as well as, for example, January 17, 2022 (CApp010143, email with quote from David Ikemoto at Omni Logistics to Alex Heaton at TPG.). TPG issued Purchase Orders to Omni and not Epic starting at least July 2021 (CApp010204). Invoices to TPG were issued by Omni starting from about January 2022. (*See Appendix Vol. VII, Shipping Chart, Column C*). Attached as Exhibit A is a list of 617 invoices issued to TPG by Omni. The list is admissible pursuant to Federal Rules of Evidence 611(a). *See, e.g., Worldwide Relocations, Inc. et al - Possible Violations of Sections 8, 10, and 19 of the Shipping Act of 1984 and the Commission's Regulations at 46 C.F.R. §§ 515.3, 515.21, and 520.3, 2010 FMC LEXIS 45, *1, 2010 WL 11768817 *34-35 (F.M.C. Aug. 16, 2010)* (admitting the shipment charts and supplemental shipment charts provided by BOE under Rule 611(a) to assist in organizing and reviewing the shipments). Further, by way of context, key employees of Epic became employees of Omni as of at least April 2021. (Manzanarez Dep. 14:9-16, CApp010213 (admitting he signed an agreement with Omni in April of 2021 stating he is no longer an employee of Epic, and that he was, from then on, an employee of Omni).) Manzanarez became Omni's Executive Vice President of Sales. (Manzanarez Dep. 15:2-10, CApp010213.) John Moran was CEO of Epic and became regional president of Omni. (Manzanarez Dep. 16:1-25, CApp010213.) Accordingly, Epic business decisions were being made by Omni personnel and the two entities were not operating as distinct entities but as one. TPG then submitted purchase orders to Epic and Omni. (Basiri Decl. ¶ 7.)

RESPONSE: Not disputed.

REPLY: None

42. Initially, TPG made purchase orders to Epic but when Epic became Omni the purchase orders were made to Omni. (Basiri Decl. ¶ 7.)

RESPONSE: Not disputed, but the purchase orders were submitted in response to quotes issued by Epic (*See generally* CApp01028-010200), and Epic is the party who performed the services for TPG. (Manzanarez Tr. at 13:18-23, 35:3-6, 36:14-19 (CApp010212, CApp010218); Ikemoto Tr. at 12:17-25 (CApp010292).)

REPLY: Quotes came from Omni as early as December 2-6, 2021 (CApp010169-70, emails with quote from David Ikemoto at Omni Logistics to Beza Basiri at TPG), as well as, for example, January 17, 2022 (CApp010143, email with quote from David Ikemoto at Omni Logistics to Alex Heaton at TPG.). Invoices to TPG were issued by Omni starting from about January 2022. (*See* Appendix Vol. VII, Shipping Chart, Column C). Attached as Exhibit A is a list of 617 invoices issued to TPG by Omni. The list is admissible pursuant to Federal Rules of Evidence 611(a). *See, e.g., Worldwide Relocations, Inc. et al - Possible Violations of Sections 8, 10, and 19 of the Shipping Act of 1984 and the Commission's Regulations at 46 C.F.R. §§ 515.3, 515.21, and 520.3, 2010 FMC LEXIS 45, *1, 2010 WL 11768817 *34-35 (F.M.C. Aug. 16, 2010) . [WESTLAW]* (admitting the shipment charts and supplemental shipment charts provided by BOE under Rule 611(a) to assist in organizing and reviewing the shipments).

43. Respondents' quotes never showed rates for demurrage, storage, or detention, nor the number of free days. (*See*, Basiri Decl. ¶ 9; *see also, e.g.*, CApp10122.)

RESPONSE: Partially disputed. Epic is the party who performed the services on behalf of TPG. (Manzanarez Tr. at 13:18-23, 35:3-6, 36:14-19 (CApp010212, CApp010218); Ikemoto Tr. at 12:17-25 (CApp010292).) Epic's quotes always included a disclaimer that all shipments were subject to Epic's Terms and Conditions, which clearly obligate TPG to pay for demurrage, storage, and detention. (FMC_C00046874, Section 12(E) (RApp356) ("customer shall . . . be jointly and severally liable to [Epic] for payment of all freight, demurrage, detention and charges[.]").) Epic had weekly (and sometimes more frequent) phone calls with Complainant to update Complainant on the status of shipments and regularly informed Complainant of the likelihood of demurrage and detention charges. Frequent emails were provided to Complainant regarding the status of shipments, including demurrage and detention charges. Epic informed Complainant, when possible, of port congestion and difficulty returning containers to ports, but due to factors outside of Epic's control, Epic could not always give advanced quotes for detention and demurrage charges due to the factors outside the control of Epic, Complainant, or other agents. (*See* Ikemoto Dep. (Epic) 50:19-51:20 (CApp010302).)

REPLY: Respondents do not dispute that the quotes did not include rates for demurrage, storage, or detention, nor the number of free days.

44. Respondents' invoices and the Bills of Lading provided reflect that the Shipments were all by vessel over international waters to ports in the United States. (*See*, Shipment Chart, CApp11020.)

RESPONSE: Disputed. Some of the invoices and bills lading reflect that shipments were from a foreign country to a port in Canada. (RPFF ¶¶ 59-64.) The Shipment Chart is inadmissible hearsay and lacks foundation.

REPLY: None.

45. TPG did not select the VOCCs, NVOCCs, or any other entity involved in bringing TPG's cargo to the United States and to TPG's client's door; the Respondents did so, and also handled all aspects of transportation of TPG's shipments. (*See*, Basiri Dep. 53:3-7; 53:21-24 (Sept. 14, 2023), CApp10396; *see also*, Ikemoto Dep. (Epic) 39:14-25; 40:1-3; 41:22-25; 42:1-9, CApp010299-300.). The service providers Respondents used either have no tariff or the tariff was not provided to TPG. (Basiri Decl. ¶ 9, 17.)

RESPONSE: Partially disputed. Epic is the party who performed the services on behalf of TPG. (Manzanarez Tr. at 13:18-23, 35:3-6, 36:14-19 (CApp010212, CApp010218); Ikemoto Tr. at 12:17-25 (CApp010292).) The services providers with whom Epic contracted on TPG's behalf were agents of the VOCCs, all of whom had tariffs available to the public, which TPG could have accessed. TPG also had a say in which VOCCs Epic—or its agent—contracted with on TPG's behalf. (Basiri Tr. (Sep. 15) at 43:7-16 (CApp010463); Ikemoto Dep. (Epic) 51:3-20 (CApp010302).)

REPLY: Respondents submit no evidence that they supplied TPG with the carriers' tariffs prior to the shipment of the cargo.

46. Once Respondents took control of the cargo, TPG did not have control of its cargo or the way in which it was going to be transported; Respondents handled everything, and the charges assessed by third parties, including steamship lines, were passed to TPG. (Ikemoto Dep. (Epic) 39:14-25; 40:1-3; 120:6-11, CApp010299, 319.)

RESPONSE: Disputed. Epic is the party who performed the services on behalf of TPG. (Manzanarez Tr. at 13:18-23, 35:3-6, 36:14-19 (CApp010212, CApp010218); Ikemoto Tr. at 12:17-25 (CApp010292).)

REPLY: Respondents do not dispute that at a minimum Epic had control of the TPG's cargo. Further, record evidence demonstrates that Omni provided services to TPG and had control of the cargo Invoices to TPG were issued by Omni starting from about January 2022. (*See* Appendix Vol. VII, Shipping Chart, Column C). Attached as Exhibit A is a list of 617 invoices issued to TPG by Omni. The list is admissible pursuant to Federal Rules of Evidence 611(a). *See, e.g., Worldwide Relocations, Inc. et al - Possible Violations of Sections 8, 10, and 19 of the Shipping Act of 1984 and the Commission's Regulations at 46 C.F.R. §§ 515.3, 515.21, and 520.3*, 2010 FMC LEXIS 45, *1, 2010 WL 11768817 *34-35 (F.M.C. Aug. 16, 2010) (admitting the shipment charts and supplemental shipment charts provided by BOE under Rule 611(a) to assist in organizing and reviewing the shipments). Omni's control of the cargo is further supported by Omni's emails to TPG stating that TPG's cargo would no longer be delivered until TPG paid Omni \$1.7M. (Email from Heathcock to Basiri, dated May 17, 2022, on Omni email, CApp10705.)

47. Respondents had such full control of TPG's cargo that they could refuse to transition control to TPG. (Manzanarez Dep. (Epic) 67:6-15, CApp10226).

RESPONSE: Disputed. Respondents never "refuse[d] to transition control to TPG." The cited deposition testimony indicates just that opposite—that Epic "was in a position to transition

responsibility of the containers from [Epic] to [TPG].” (Manzanarez Tr. at 67:11-12 (CApp10226.)

REPLY: The Response does not refute the assertion in paragraph 48. The witness stated:

11 A. Epic was in a position to transition
12 responsibility of the containers from us to them. We
13 were not going to continue to outsource and -- and incur
14 additional expenses if the customer was never going to
15 pay.

Omni’s control of the cargo is further supported by Omni’s emails to TPG stating that TPG’s cargo would no longer be delivered until TPG paid Omni \$1.7M. (Email from Heathcock to Basiri, dated May 17, 2022, on Omni email, CApp10705.)

48. Respondents would not transition control of any given container to clients that it determined “were never going to pay;” transitioning “responsibility [of a container] over to the client” was an “option.” (Manzanares Dep. (Epic) 67:6-15, 69:7-16, CApp10226.)

RESPONSE: Partially disputed. Respondents do not dispute that Mr. Manzanarez gave the quoted testimony, but Respondents dispute that the quoted testimony accurately portrays the relevant context that was not specific to TPG or to any of the containers at issue here. (*See* Manzanarez Tr. at 67:11-15 (CApp10226) (“We were not going to continue to outsource and – incur additional expenses if the customer was never going to pay.”).)

REPLY: The testimony speaks for itself.

49. TPG had no direct contact with the steamship lines or other service providers; if TPG had any questions about the status of a shipment, it would call Epic and Omni. (Ikemoto Dep. (Epic) 41:6-25, 42:1-9, 48:4-18, CApp010299-301.)

RESPONSE: Partially disputed. For some shipments, TPG received arrival notices directly from the steamship line. (FMC_C00009289-94, RApp 280-285.) TPG would not call Omni, as Epic is the party who performed the services on behalf of TPG. (Manzanarez Tr. at 13:18-23, 35:3-6, 36:14-19 (CApp010212, CApp010218); Ikemoto Tr. at 12:17-25 (CApp010292).)

REPLY: Ample record evidence demonstrates that Omni provided services to TPG and had control of the cargo. Invoices to TPG were issued by Omni starting from about January 2022. (*See* Appendix Vol. VII, Shipping Chart, Column C). Attached as Exhibit A is a list of 617 invoices issued to TPG by Omni. The list is admissible pursuant to Federal Rules of Evidence 611(a). *See, e.g., Worldwide Relocations, Inc. et al - Possible Violations of Sections 8, 10, and 19 of the Shipping Act of 1984 and the Commission's Regulations* at 46 C.F.R. §§ 515.3, 515.21, and 520.3, 2010 FMC LEXIS 45, *1, 2010 WL 11768817 *34-35 (F.M.C. Aug. 16, 2010) (admitting the shipment charts and supplemental shipment charts provided by BOE under Rule 611(a) to assist in organizing and reviewing the shipments). Quotes came from Omni as early as December 2-6, 2021 (CApp010169-70, emails with quote from David Ikemoto at Omni Logistics to Beza Basiri at TPG), as well as, for example, January 17, 2022 (CApp010143, email with quote from David Ikemoto at Omni Logistics to Alex Heaton at TPG.). Respondents do not deny that TPG issued

purchase orders to Omni after the Merger. Key employees of Epic became employees of Omni as of at least April 2021. (Manzanarez Dep. 14:9-16, CApp010213 (admitting he signed an agreement with Omni in April of 2021 stating he is no longer an employee of Epic, and that he was, from then on, an employee of Omni).) Manzanarez became Omni's Executive Vice President of Sales. (Manzanarez Dep. 15:2-10, CApp010213.) John Moran was CEO of Epic and became regional president of Omni. (Manzanarez Dep. 16:1-25, CApp010213.) Accordingly, at a minimum Epic business decisions were being made by Omni personnel and the two entities were not operating as distinct entities but as one.

50. Accordingly, Respondents entered into affreightment agreements directly with entities, such as World Cargo International S.A.S., in Respondents' own names. (Ikemoto Dep. (Epic) 39:14-25; 40:1-3 CApp010299.)

RESPONSE: Disputed. Respondents' dispute the characterization of the agreements as "affreightment" agreements. Entities such as World Cargo International S.A.S. signed bills of lading as "agent" of the VOCC. (Ikemoto Tr. at 34:3-6 (CApp010298) (World Cargo, "through their contracting carriers out in Columbia," obtained capacity for Epic.).)

REPLY: The bills of lading are in writing and speak for themselves.

51. Respondents resold these transportation services from other common carriers and service providers to TPG at a markup. (Manzanarez Dep. (Omni) 10:1-15, CApp010277; Manzanarez Dep. (Epic) 106:22-25, 107:1-25, 108:1-15, CApp010236; Ikemoto Dep. (Epic) 39:14-25; 40: 1-17, CApp010299.)

RESPONSE: Partially disputed. Epic is the party who performed the services on behalf of TPG. (Manzanarez Tr. at 13:18-23, 35:3-6, 36:14-19 (CApp010212, CApp010218); Ikemoto Tr. at 12:17-25 (CApp010292).) None of the referenced citations indicate which services provided by Epic to Omni were provided at a markup. Respondents, in many cases, did not mark up ocean freight and often moved containers "at a loss." (Ikemoto Tr. at 136:1-18 (CApp010323).)

REPLY: TPG issued Purchase Orders to Omni and not Epic starting at least July 2021 (CApp010204.). Invoices to TPG were issued by Omni starting from about January 2022. (*See* Appendix Vol. VII, Shipping Chart, Column C). Attached as Exhibit A is a list of 617 invoices issued to TPG by Omni. The list is admissible pursuant to Federal Rules of Evidence 611(a). *See, e.g., Worldwide Relocations, Inc. et al - Possible Violations of Sections 8, 10, and 19 of the Shipping Act of 1984 and the Commission's Regulations at 46 C.F.R. §§ 515.3, 515.21, and 520.3, 2010 FMC LEXIS 45, *1. [WESTLAW]* (admitting the shipment charts and supplemental shipment charts provided by BOE under Rule 611(a) to assist in organizing and reviewing the shipments). Further, by way of context, key employees of Epic became employees of Omni as of at least April 2021. (Manzanarez Dep. 14:9-16, CApp010213 (admitting he signed an agreement with Omni in April of 2021 stating he is no longer an employee of Epic, and that he was, from then on, an employee of Omni).) Manzanarez became Omni's Executive Vice President of Sales. (Manzanarez Dep. 15:2-10, CApp010213.) John Moran was CEO of Epic and became regional president of Omni. (Manzanarez Dep. 16:1-25, CApp010213.) Accordingly, Epic business decisions were being made by Omni personnel and the two entities were not operating as distinct entities but as one.

52. Respondents issued freight invoices to and collected payment from TPG, and then paid downstream NVOCCs and service providers such as World Cargo International S.A.S. (Manzanarez Dep. (Omni) 10:1-15, CApp010277; Manzanarez Dep. (Epic) 106:22-25, 107:1-25, 108:1-15, CApp010236; Ikemoto Dep. (Epic) 39:14-25; 40: 1-17, CApp010299.)

RESPONSE: Disputed. As written, this suggests that TPG paid freight charges to Respondents before Respondents paid downstream service providers, but Epic actually prepaid for freight on behalf of TPG, and Respondents did not invoice TPG until TPG's cargo was delivered. (Ikemoto Tr. at 122:8 (CApp010320, 135:4-5 (CApp010323).)

REPLY: Respondents do not dispute that they issued TPG invoices and collected payments for "freight" Nor that they paid downstream service providers.

53. Respondents engaged a customs house broker to clear TPG's shipments with U.S. Customs. (Basiri Dep. 17:14-25 (Sept. 15, 2023), CApp10456); *see also, e.g.*, Invoice from Scott Ryan Allman Customs House Broker issued to Epic on March 3, 2022, for services to TPG, CApp011018.)

RESPONSE: Partially disputed. Omni did not engage a customs house broker on behalf of TPG; Epic is the party who performed the services on behalf of TPG. (Manzanarez Tr. at 13:18-23, 35:3-6, 36:14-19 (CApp010212, CApp010218); Ikemoto Tr. at 12:17-25 (CApp010292).)

REPLY: TPG issued Purchase Orders to Omni and not Epic starting at least July 2021 (CApp010204.). Invoices to TPG were issued by Omni starting from about January 2022. (*See* Appendix Vol. VII, Shipping Chart, Column C). Attached as Exhibit A is a list of 617 invoices issued to TPG by Omni. The list is admissible pursuant to Federal Rules of Evidence 611(a). *See, e.g., Worldwide Relocations, Inc. et al - Possible Violations of Sections 8, 10, and 19 of the Shipping Act of 1984 and the Commission's Regulations at 46 C.F.R. §§ 515.3, 515.21, and 520.3, 2010 FMC LEXIS 45, *1. [WESTLAW]* (admitting the shipment charts and supplemental shipment charts provided by BOE under Rule 611(a) to assist in organizing and reviewing the shipments). Further, by way of context, key employees of Epic became employees of Omni as of at least April 2021. (Manzanarez Dep. 14:9-16, CApp010213 (admitting he signed an agreement with Omni in April of 2021 stating he is no longer an employee of Epic, and that he was, from then on, an employee of Omni).) Manzanarez became Omni's Executive Vice President of Sales. (Manzanarez Dep. 15:2-10, CApp010213.) John Moran was CEO of Epic and became regional president of Omni. (Manzanarez Dep. 16:1-25, CApp010213.) Accordingly, Epic business decisions were being made by Omni personnel and the two entities were not operating as distinct entities but as one.

54. The customs house broker billed Respondents directly, and Respondents collected monies from TPG for his work clearing the cargo. Invoice from Scott Ryan Allman Customs House Broker issued to Epic on March 3, 2022, for services to TPG, CApp011018.)

RESPONSE: Partially disputed. Omni was not billed; Epic is the party who performed the services on behalf of TPG. (Manzanarez Tr. at 13:18-23, 35:3-6, 36:14-19 CApp010212, CApp010218); Ikemoto Tr. at 12:17-25 (CApp010292).)

REPLY: TPG issued Purchase Orders to Omni and not Epic starting at least July 2021 (CApp010204.). Invoices to TPG were issued by Omni starting from about January 2022. (See Appendix Vol. VII, Shipping Chart, Column C). Attached as Exhibit A is a list of 617 invoices issued to TPG by Omni. The list is admissible pursuant to Federal Rules of Evidence 611(a). See, e.g., *Worldwide Relocations, Inc. et al - Possible Violations of Sections 8, 10, and 19 of the Shipping Act of 1984 and the Commission's Regulations at 46 C.F.R. §§ 515.3, 515.21, and 520.3*, 2010 FMC LEXIS 45, *1. [WESTLAW] (admitting the shipment charts and supplemental shipment charts provided by BOE under Rule 611(a) to assist in organizing and reviewing the shipments). Further, by way of context, key employees of Epic became employees of Omni as of at least April 2021. (Manzanarez Dep. 14:9-16, CApp010213 (admitting he signed an agreement with Omni in April of 2021 stating he is no longer an employee of Epic, and that he was, from then on, an employee of Omni).) Manzanarez became Omni's Executive Vice President of Sales. (Manzanarez Dep. 15:2-10, CApp010213.) John Moran was CEO of Epic and became regional president of Omni. (Manzanarez Dep. 16:1-25, CApp010213.) Accordingly, Epic business decisions were being made by Omni personnel and the two entities were not operating as distinct entities but as one.

55. Respondents also leased containers for TPG shipments. (Email from Ikemoto to TPG, dated June 30, 2021, CApp10580.)

RESPONSE: Disputed. Respondents did not lease containers for TPG's shipments. Respondents did not own or lease any equipment for TPG's shipments. (Ikemoto Tr. at 31:4-8 (CApp010297.) TPG's only citation to the record for this proposition is an email thread in which TPG itself is inquiring about renting a container for domestic transportation from Hermiston, Oregon to Grand Prairie, Texas. (EPIC_0017395-402, RApp 131-138.) TPG selectively included only the top email in a long thread.

REPLY: The document is in writing and speaks for itself.

56. Respondents often used a company credit card to make payments to the service providers they retained to handle TPG's cargo, charges they later passed to TPG. (Ikemoto Dep. (Epic) 120:7-17, CApp010319; see also Shipment Chart, CApp11020.)

RESPONSE: Partially disputed. Epic is the party who performed the services on behalf of TPG. (Manzanarez Tr. at 13:18-23, 35:3-6, 36:14-19 CApp010212, CApp010218); Ikemoto Tr. at 12:17-25 (CApp010292).) For payments to certain vendors, credit card payments were required and were provided by Epic to the vendor. (Ikemoto Tr. at 71:5-10 (CApp010307).) The Shipment Chart is inadmissible hearsay and lacks foundation.

REPLY: TPG issued Purchase Orders to Omni and not Epic starting at least July 2021 (CApp010204.). Invoices to TPG were issued by Omni starting from about January 2022. (See Appendix Vol. VII, Shipping Chart, Column C). Attached as Exhibit A is a list of 617 invoices issued to TPG by Omni. The list is admissible pursuant to Federal Rules of Evidence 611(a). See, e.g., *Worldwide Relocations, Inc. et al - Possible Violations of Sections 8, 10, and 19 of the Shipping Act of 1984 and the Commission's Regulations at 46 C.F.R. §§ 515.3, 515.21, and*

520.3, 2010 FMC LEXIS 45, *1. [WESTLAW] (admitting the shipment charts and supplemental shipment charts provided by BOE under Rule 611(a) to assist in organizing and reviewing the shipments). Further, by way of context, key employees of Epic became employees of Omni as of at least April 2021. (Manzanarez Dep. 14:9-16, CApp010213 (admitting he signed an agreement with Omni in April of 2021 stating he is no longer an employee of Epic, and that he was, from then on, an employee of Omni).) Manzanarez became Omni's Executive Vice President of Sales. (Manzanarez Dep. 15:2-10, CApp010213.) John Moran was CEO of Epic and became regional president of Omni. (Manzanarez Dep. 16:1-25, CApp010213.) Accordingly, Epic business decisions were being made by Omni personnel and the two entities were not operating as distinct entities but as one.

57. Epic and Omni had no internal controls regarding credit card charges or limits to authorization. (Ikemoto Dep. (Epic) 120:22-25, 121:1-25, 122:1-25, 123:1-25, 124:1-19; 125:22-25, CApp010319-320.)

RESPONSE: Disputed. The cited testimony supports the opposite of what Complainant argues, as Mr. Ikemoto states clearly that credit card charges "would have to get authorized" and only two employees had access to the credit card (Ikemoto Dep. 121:2-17 (CApp010319).)

REPLY: Testimony speaks for itself.

58. The Respondents were listed as shipper, consignee, notify party, or entity to contact for delivery on draft bills of lading and on arrival notices. (Ikemoto Dep. (Epic) 46:11-16, CApp010301.)

RESPONSE: Partially disputed. TPG was listed as both consignee and notify party on some arrival notices, and Epic's Colombian agent was listed as shipper on some arrival notices. (See Epic0017792, RApp141; FMC_C00009289-94, RApp280-285.) Omni was identified as a "destination agent" on some bills of lading later in the parties' relationship. (See, e.g., CApp001451.)

REPLY: Documents speak for themselves.

59. Respondents received compensation only from TPG, not from carriers or other parties. (Omni's Objections and Resp. to Complainant's First Set of Interrogs. No. 12 (June 22, 2023), CApp10980-95; Epic's Objections and Resp. to Complainant's First Set of Interrogs. No. 12 (June 22, 2023), CApp10904-18.)

RESPONSE: Not disputed.

REPLY: None.

60. TPG had no knowledge of the terms and conditions between the Respondents and any of the companies the Respondents retained to service TPG's shipments because the Respondents never informed TPG of those terms and conditions. (Ikemoto Dep. (Epic) 49:9-16, CApp010301.)

RESPONSE: Disputed. TPG’s corporate representative testified that while he had not reviewed Epic’s Terms and Conditions “line by line” that he had seen them before and reviewed at least a portion of them as early as 2019 regarding an incident that resulted in demurrage charges. (Basiri Dep. (Sep. 14) 41:19-42:12 (CApp010393-94.) TPG submitted no evidence from any TPG witness to establish that it had “no knowledge” of Epic’s Terms and Conditions, which were incorporated by reference into each of Epic’s quotes to TPG. (*See, e.g.* CApp010176.) TPG notes that reviewing Epic’s Terms and Conditions would have been the responsibility of one of its contract administrators, but no declaration has been submitted by anyone with that title. (Heaton Dep. 49:1-50:20, RApp19-20.)

REPLY: Testimony speaks for itself.

4. Failures of Complainants’ Invoices

61. Before the Merger with Omni, Epic used an outside firm to handle Epic’s accounting and collections. (Manzanarez Dep. (Epic) 33:16-25, 34:1-6, CApp010217-218; Ikemeoto Dep. (Epic) 66:12-23, CApp10306.)

RESPONSE: Not disputed.

REPLY: None.

62. After the Merger, Epic let the outside accounting firm go and began using Omni’s accounting and collection personnel. (Manzanarez Dep. (Epic) 33:16-25, 34:1-6, CApp010217-218; Ikemeoto Dep. (Epic) 66:12-23, 10306.)

RESPONSE: Not disputed.

REPLY: None.

63. At about the same time as the Merger, Epic’s invoices started listing payment directions to Omni. (Basiri Decl. ¶ 7; Shipment Chart, CApp11020.)

RESPONSE: Not disputed. As Respondents have explained, Omni performed various back-office services on behalf of Epic, including the issuance and collection of invoices. Respondents note, however, that the invoices continued to be issued in the name of Epic well into calendar year 2022. (*See, e.g.* CApp000100 (invoice dated March 2022 issued in the name of Epic).) The Shipment Chart is inadmissible hearsay and lacks foundation.

REPLY: TPG issued Purchase Orders to Omni and not Epic starting at least July 2021 (CApp010204.). Invoices to TPG were issued by Omni starting from about January 2022. (*See* Appendix Vol. VII, Shipping Chart, Column C). Attached as Exhibit A is a list of 617 invoices issued to TPG by Omni. The list is admissible pursuant to Federal Rules of Evidence 611(a). *See, e.g., Worldwide Relocations, Inc. et al - Possible Violations of Sections 8, 10, and 19 of the*

Shipping Act of 1984 and the Commission's Regulations at 46 C.F.R. §§ 515.3, 515.21, and 520.3, 2010 FMC LEXIS 45, *1. [WESTLAW] (admitting the shipment charts and supplemental shipment charts provided by BOE under Rule 611(a) to assist in organizing and reviewing the shipments). Further, by way of context, key employees of Epic became employees of Omni as of at least April 2021. (Manzanarez Dep. 14:9-16, CApp010213 (admitting he signed an agreement with Omni in April of 2021 stating he is no longer an employee of Epic, and that he was, from then on, an employee of Omni).) Manzanarez became Omni's Executive Vice President of Sales. (Manzanarez Dep. 15:2-10, CApp010213.) John Moran was CEO of Epic and became regional president of Omni. (Manzanarez Dep. 16:1-25, CApp010213.) Accordingly, Epic business decisions were being made by Omni personnel and the two entities were not operating as distinct entities but as one.

64. TPG believed that it was now doing business with Omni instead of Epic. (Basiri Dep. (Sept 14, 2023) 47:16-21, CApp10395.)

RESPONSE: Disputed. (Manzanarez Tr. at 103:1-25, CApp010235.)

REPLY: Manzanarez's quoted transcript portions do not address whether or not TPG believed it was now doing business with Omni post-merger. Further, TPG issued Purchase Orders to Omni and not Epic starting at least July 2021 (CApp010204.). Invoices to TPG were issued by Omni starting from about January 2022. (See Appendix Vol. VII, Shipping Chart, Column C). Attached as Exhibit A is a list of 617 invoices issued to TPG by Omni. The list is admissible pursuant to Federal Rules of Evidence 611(a). See, e.g., *Worldwide Relocations, Inc. et al - Possible Violations of Sections 8, 10, and 19 of the Shipping Act of 1984 and the Commission's Regulations at 46 C.F.R. §§ 515.3, 515.21, and 520.3*, 2010 FMC LEXIS 45, *1. [WESTLAW] (admitting the shipment charts and supplemental shipment charts provided by BOE under Rule 611(a) to assist in organizing and reviewing the shipments). Further, by way of context, key employees of Epic became employees of Omni as of at least April 2021. (Manzanarez Dep. 14:9-16, CApp010213 (admitting he signed an agreement with Omni in April of 2021 stating he is no longer an employee of Epic, and that he was, from then on, an employee of Omni).) Manzanarez became Omni's Executive Vice President of Sales. (Manzanarez Dep. 15:2-10, CApp010213.) John Moran was CEO of Epic and became regional president of Omni. (Manzanarez Dep. 16:1-25, CApp010213.) Accordingly, Epic business decisions were being made by Omni personnel and the two entities were not operating as distinct entities but as one.

D. February -September 2021

65. As early as February 1, 2021, TPG ask [sic] that Epic and Omni "please make sure you notify us of any additional charges prior to incurring and provide options for us, so we can make an informed decision together as a team." (Email from Basiri to Manzanarez, dated Feb 1, 2021, CApp011008.)

RESPONSE: Not disputed. Respondents note, however, that the nature of demurrage, detention, and storage charges is such that a party can rarely obtain preapproval before incurring them. Indeed, waiting to secure customer approval would typically result in an increased charge (i.e., more demurrage, detention, etc. due to delays in providing instructions).

REPLY: None

66. TPG also objected to additional “admin” fees on its account that had not previously been negotiated. (Email from Basiri to Manzanarez, dated Feb 1, 2021, CApp011008.)

RESPONSE: Partially disputed. The “admin” fee in the cited email was applied to per diem charges, which TPG does not appear to be seeking in this matter (CApp011008), and it was applied to invoices which TPG does not identify in its “Shipment Chart,” which purports to specify TPG’s damages. (See CApp011020.) Further, the Shipment Chart is inadmissible hearsay and lacks foundation.

REPLY: The Shipment Chart is admissible pursuant to Federal Rules of Evidence 611(a). *See, e.g., Worldwide Relocations, Inc. et al - Possible Violations of Sections 8, 10, and 19 of the Shipping Act of 1984 and the Commission's Regulations at 46 C.F.R. §§ 515.3, 515.21, and 520.3, 2010 FMC LEXIS 45, *1, 2010 WL 11768817 *34-35 (F.M.C. Aug. 16, 2010) (admitting the shipment charts and supplemental shipment charts provided by BOE under Rule 611(a) to assist in organizing and reviewing the shipments).*

67. The issues continued into March of 2021, which internal persons at Epic recognizing the deficiencies. (Email string between Ikemoto and Reiss, dated March 29-30, 2021, CApp10570-72.)

RESPONSE: Disputed. The notion that there were “deficiencies” in Epic’s practices is contradicted by TPG’s corporate representative’s testimony that “I’m going to try and to almost explicitly [sic] use [Epic] for anything we bring from overseas. And we did that, and Epic did an excellent job, excellent job, with no hesitation I can say . . . They take care of the shipments. They manage it well. Everything was – was excellent.” (Basiri Tr. (Sep. 14) at 35:3-15 (CApp010392).) Respondents further object to this paragraph to the extent it is vague and conclusory in its reference to “issues” and “deficiencies” that further are not supported by any reference in the cited email.

REPLY: The emails, CApp10570-72, are admissible as declaration against interest under FRE 804(b)(3). Further, Basiri’s testimony is mischaracterized – the deposition testimony makes clear that he was discussing the inception of USCPS’s work with Epic, before Epic and Omni began doing work for TPG. (Basiri Tr. (Sep. 14) at 34:6-25 (CApp010392).)

68. By mid-June 2021—just a few months after the Merger was official—Epic’s President Mr. Robert Reis began to raise concerns internally about Epic’s own inability to handle their accounts. (Email from Reis to unidentified persons, June 18, 2021, CApp10682.)

RESPONSE: Disputed. On its face, the cited email is primarily about Epic’s diminishing profit margins in the face of increased costs and limited resources in the industry. (CApp10682.)

REPLY: The email, CApp10682, is admissible as declaration against interest under FRE 804(b)(3).

69. By August 2021, Epic and Omni were requesting payment for invoices that had never been submitted to TPG. (Email from Perez to Manzanarez, dated Aug. 24, 2021, CApp10674.)

RESPONSE: Disputed. The cited page of the appendix does not demonstrate that Respondents were requesting payment, but only that TPG says that it had not received three invoices. (CApp10674.) There is no evidence that the invoices were “never” submitted to TPG.

REPLY: CApp10674 is the evidence that Respondents never submitted invoices to TPG. Respondents never refuted that evidence by submitting evidence that they submitted the invoices at issue to TPG.

E. October 2021

70. By October of that year, Epic and Omni had not made any changes to their practices, which to the contrary were deteriorating further.

RESPONSE: Disputed. Parties must designate specific facts and provide the court with their location in the record. *Orr v. Bank of Am.*, 285 F.3d 764, 775 (9th Cir. 2002). “General references [to evidence] without page . . . numbers are not sufficiently specific.” *S. Cal. Gas Co. v. City of Santa Ana*, 336 F.3d 885, 889 (9th Cir. 2003). Respondents further object to this paragraph to the extent it is vague and conclusory in its reference to “their practices” that “were deteriorating” that are not supported by any evidence.

REPLY: None.

71. For example, on October 25, 2021, Epic and Omni escalated to threatening credit reports for invoices TPG had never received. (Email from Defillo-Stukes to Perez, Basiri, Manzanarez, dated Oct. 25, 2021, CApp10670; Email from Basiri to Defillo-Stukes, dated Oct. 25, 2021, CApp10669; Email from Basiri to Manzanarez, dated Oct. 25, 2021, CApp10562.)

RESPONSE: Disputed. The cited page of the appendix does not contain an express threat of “credit reports.” The cited page demonstrates that Respondents had legitimate concerns about invoices containing over \$80,000 in charges that had aged for 82 days. (CApp10670.) Moreover, it appears that the majority of the invoices not only were received but were not noted to contain any alleged deficiency in supporting documentation. (CApp10624-25). Further, the cited emails do not establish that the invoices were “never received” by TPG; such an allegation is unsupported by the emails.

REPLY: The documents are in writing and speak for themselves.

72. On October 25, 2021, Manzanarez emailed Ikemoto and Reis, saying that TPG “continues to provide these examples”, referring to Epic and Omni’s aggressive behavior over invoices TPG never received. (Email from Manzanarez to Ikemoto and Reis, dated Oct. 25, 2021, CApp10561.)

RESPONSE: Disputed. The cited page of the appendix demonstrates that the quoted reference was to invoices that TPG allegedly had not received, not Respondents’ “aggressive behavior.” (Capp010561-62.) Some invoices appear to have been missed by the TPG accounting team, without fault of the Respondents. (Ikemoto Dep. 142:20-143:7 (CApp010325); CApp10669 (“I have sent copies of the past due invoices, I’m glad[] to send them again to you.”).)

REPLY: The documents are in writing and speak for themselves.

73. On October 28, 2021, Manzanarez again confirmed that TPG had not received a number of invoices Epic and Omni claimed. (Email from Manzanarez to Defillo-Stukes, dated Oct. 28, 2021, CApp10615.)

RESPONSE: Disputed. The cited email does not establish what, if any, invoices were “not received” by TPG but repeats what was asserted by Basiri when speaking with Manzanarez. Some invoices appear to have been missed by the TPG accounting team, without fault of the Respondents. (Ikemoto Dep. 142:20-143:7 (CApp010325); CApp10669 (“I have sent copies of the past due invoices, I’m glad[] to send them again to you.”).)

REPLY: The documents are in writing and speak for themselves.

74. On October 29, 2021, TPG noted that invoices were still not being sent but remained claimed, invoices with no container number or project reference. (Email from Hernandez to Defillo-Stukes, dated Oct. 29, 2021, CApp10613-17.)

RESPONSE: Disputed. On the face of the cited email (CApp10613-17), the TPG employee asks that an invoice be resent to her but does not indicate that it was never previously sent to TPG. Some invoices appear to have been missed by the TPG accounting team, without fault of the Respondents. (Ikemoto Dep. 142:20-143:7 (CApp010325) ; CApp10669 (“I have sent copies of the past due invoices, I’m glad[] to send them again to you.”).) The TPG employee also notes a container number and project reference was included on the invoice and requests a different container number and project reference.

REPLY: The documents are in writing and speak for themselves.

75. The invoices that Epic and Omni had sent to TPG lacked supporting documentation or were not intended for TPG at all. (*See, e.g.*, Email from Hernandez to Defillo- Stukes, dated Oct. 29, 2021, CApp10613-34; Email from Manzanarez to Basiri, Oct. 25, 2021, CApp10562-70.)

RESPONSE: Disputed. TPG’s invocation of the vague term “supporting documentation” renders Respondents unable to evaluate this proposition. Complainant ignores a later email, on December 21, 2021, where Basiri notes “I understand we have just about all the information being requested”. (CApp10637.) Thereafter, Basiri notes that TPG processed a payment for \$349,584.94. (*Id.*) These statements are inconsistent with TPG’s current argument that all invoices “lacked supporting documentation or were not intended for TPG at all.”

REPLY: The documents are in writing and speak for themselves.

76. The systemic billing and records disorganization spread to a general lack of responsiveness, and TPG informed Epic/Omni that TPG was taking new projects away from

Epic/Omni as a result. (Email from Manzanarez to Ikemoto and Reis, dated October 21, 2021, CApp10557-59.)

RESPONSE: Disputed. Respondents were always responsive to TPG regarding TPG's shipments, as evident in the above-cited email threads. (*See, e.g.*, CApp10637 ("I understand we have just about all the information being requested").) Other emails evidence responsiveness and receipt of emails. (*See, e.g.*, CApp10650 ("I have attached the first set of invoices you requested."); CApp10655 ("Invoices were received. All looks good.") Additionally, Respondents had weekly meetings with TPG on Zoom, daily email communications, and frequent phone conversations regarding the status of TPG's shipments. (Heaton Dep. 87:12-24 (RApp29); Ikemoto Tr. at 109:1, 11-13 (CApp010316), 127:2-5 (CApp010321); Epic's Response to TPG's Interrogatory No. 10 (CApp010910).)

REPLY: The documents are in writing and speak for themselves.

77. On October 22, 2021, Ikemoto stated "We will get better, MC coming on board on Monday will be the difference as she as account management and ocean experience." (Email from Ikemoto to Manzanarez and Reis, dated Oct. 22, 2021, CApp10557.)

RESPONSE: Respondents do not dispute that Mr. Ikemoto sent the quoted email, but dispute that the quoted portion of the email accurately conveys the entire context in which the statement was made.

REPLY: The documents are in writing and speak for themselves.

78. David Ikemoto later stated in an internal email on October 25, 2021, that Epic and Omni had a shortage of personnel to handle their workload and that he was "trying to juggle accounts that would [sic] have more support then [sic] just myself." (Email from Ikemoto to Manzanarez and Reis, dated Oct. 25, 2021, CApp10581.)

RESPONSE: Partially disputed. Respondents do not dispute that Mr. Ikemoto sent the quoted email, but dispute that the quoted portion of the email accurately conveys the entire context in which the statement was made. Epic is the party who performed the services on behalf of TPG. (Manzanarez Tr. at 13:18-23, 35:3-6, 36:14-19 (CApp010212, CApp010218); Ikemoto Tr. at 12:17-25 (CApp010292).)

REPLY: The documents are in writing and speak for themselves.

79. Epic's Executive VP, Yohanse Manzanarez, responded that same day "[t]his is a WE issue --- Robert [Reis] and I bear most of the fault here." *Id.*

RESPONSE: Respondents do not dispute that Mr. Manzanarez sent the quoted email, but dispute that the quoted portion of the email accurately conveys the entire context in which the statement was made.

REPLY: The documents are in writing and speak for themselves.

F. November 2021

80. In November 2021, the issues with insufficient documentation of the invoices escalated. For example, claimed invoices had never been received, omitted the project for which they were issued, had no proof of delivery, or lacked a container number. (Emails between Hernandez and Defillo-Stukes, dated Nov. 12-29, 2021, CApp10645-54.)

RESPONSE: Disputed. The cited emails ignore a later email, on December 21, 2021, where Basiri notes “I understand we have just about all the information being requested”. (CApp10637.) Thereafter, Basiri notes that TPG processed a payment for \$349,584.94. (*Id.*) These statements are inconsistent with TPG’s current argument that “issues . . . escalated.” To the contrary, they were resolved. Moreover, among other things, the invoices issued in November 2021 include charges for rail demurrage associated with containers that did not enter the United States through a US port. (Basiri Tr. at 102:20-24, 106:1-8, Basiri Tr. Ex. 72.)

REPLY: The documents are in writing and speak for themselves.

81. Invoices were still being claimed but not sent to TPG. (*See, e.g.*, Email from Hernandez to Defillo-Stukes, dated November 17, 2021, CApp10605.)

RESPONSE: Disputed. The cited email does not establish that invoices were “not sent” to TPG simply because a TPG data entry employee says so in an email. In an email the previous day, the same TPG employee noted no deficiencies (CApp10609 (“Invoices were received. All looks good.”)). Some invoices appear to have been missed by the TPG accounting team, without fault of the Respondents. (Ikemoto Dep. 142:20-143:7 (CApp010325); CApp10669 (“I have sent copies of the past due invoices, I’m glad[] to send them again to you.”).) Additionally, Complainant ignores a later email, on December 21, 2021, where Basiri notes “I understand we have just about all the information being requested”. (CApp10637.) Thereafter, Basiri notes that TPG processed a payment for \$349,584.94. (*Id.*)

REPLY: The documents are in writing and speak for themselves.

82. This continued on November 22, 2021, with TPG receiving invoices that were not for TPG. (*See, e.g.*, Email from Hernandez to Defillo-Stukes, dated November 22, 2021, CApp10604.)

RESPONSE: Partially disputed. It is not clear what “This continued” refers to, but Respondents do not dispute that they continued to attempt to collect past due invoices and provide requested information. Respondents do not dispute that a statement of account referred to invoices for another customer, but this was a simple error; Respondents obviously did not have any expectation that TPG would pay the invoices intended for another party and the issue was promptly corrected.

REPLY: The documents are in writing and speak for themselves.

83. And again, on November 23, 2021, TPG noted that documentation was incomplete. (*See*, Email from Hernandez to Defillo-Stukes, dated November 23, 2021, CApp10601.)

RESPONSE: Disputed. The cited email does not establish that what, if any, “documentation was incomplete.” Complainant also ignores a later email, on December 21, 2021, where Basiri notes “I understand we have just about all the information being requested”. (CApp10637.)

REPLY: The documents are in writing and speak for themselves.

84. And again, on November 23, 2021, Epic and Omni sent invoices without container numbers. (See, Email from Hernandez to Defillo-Stukes, dated November 23, 2021, CApp10600.)

RESPONSE: Not disputed.

REPLY: None.

G. Excessive Demurrage in November

85. TPG also started seeing excessive demurrage, storage, and other charges in the invoices Epic and Omni issued, as well as charges that did not match the charges on the entry summary, and/or that lacked supporting documentation. For example, Epic invoices 1535499, 500, 501, 502, 503, 504, 505, 506, 507, 508 for BL 60403043 dated November 11, 2021, for the Bay Park project *each* have over \$4,000 USD in demurrage charges. (See Shipment Chart, CApp11020; see also Email from Basri to Defillo-Stukes, Nov. 30, 2021, CApp10643 (stating “I’m still reviewing Bay Park invoices with excessive demurrage/detention fees.”).)

RESPONSE: Disputed. The referenced invoices were not shipped from a foreign country to a “port in the United States.” (RPFF ¶¶ 59-64.) Moreover, the charges are for rail demurrage accrued at a rail yard in Chicago (*Id.*), and TPG was well aware of the congestion at the rail yard in Chicago and the potential for such additional charges accruing. (RPFF ¶¶ 32-35.) The Shipment Chart is inadmissible hearsay and lacks foundation.

REPLY: The Shipment Chart is admissible pursuant to Federal Rules of Evidence 611(a). See, e.g., *Worldwide Relocations, Inc. et al - Possible Violations of Sections 8, 10, and 19 of the Shipping Act of 1984 and the Commission's Regulations at 46 C.F.R. §§ 515.3, 515.21, and 520.3*, 2010 FMC LEXIS 45, *1, 2010 WL 11768817 *34-35 (F.M.C. Aug. 16, 2010) (admitting the shipment charts and supplemental shipment charts provided by BOE under Rule 611(a) to assist in organizing and reviewing the shipments).

86. The freight rate for these shipments as \$5,010.00 per container. (See Shipment Chart, CApp Shipment Chart, CApp11020.)

RESPONSE: Not disputed.

REPLY: None.

87. Eight of these containers were charged more in demurrage than it cost to ship them. (See Shipment Chart, CApp11020.)

RESPONSE: Not disputed.

REPLY: None.

88. In fact, 31 invoices Epic issued on November 11, 2021, for the Bay Park project have an aggregate of \$112,200 in demurrage charges close to the cost to ship them (\$150,300). (See Shipment Chart, CApp11020.)

RESPONSE: Not disputed, but Respondents note that these 31 invoices were for containers not shipped from a foreign country to a “port in the United States.” (RPFF ¶¶ 59-64.)

REPLY: None.

89. Epic and Omni never provided supporting documents or any explanation for these excessive demurrage charges that would allow TPG to evaluate the validity of the charges. (See Shipment Chart, CApp11020; Basiri Decl. ¶ 22, 24.)

RESPONSE: Disputed. Each of the invoices included a payment receipt to Canadian National Railroad for demurrage in the same amount of the charge for demurrage on the invoice. (CApp11020.) The Shipment Chart is inadmissible hearsay and lacks foundation.

REPLY: The Shipment Chart is admissible pursuant to Federal Rules of Evidence 611(a). *See, e.g., Worldwide Relocations, Inc. et al - Possible Violations of Sections 8, 10, and 19 of the Shipping Act of 1984 and the Commission's Regulations at 46 C.F.R. §§ 515.3, 515.21, and 520.3, 2010 FMC LEXIS 45, *1, 2010 WL 11768817 *34-35 (F.M.C. Aug. 16, 2010) (admitting the shipment charts and supplemental shipment charts provided by BOE under Rule 611(a) to assist in organizing and reviewing the shipments).*

90. These November 2021 shipments were the first time since Epic and TPG started working together that excessive demurrage had become an issue. (See Shipment Chart (pre- Nov. 2021 demurrage charges), CApp11020.)

RESPONSE: Disputed. Basiri testified regarding at least one prior shipment involving demurrage in 2019. (Basiri Dep. 42:1-12 (CApp010394).) Respondents do not dispute that on this occasion, TPG’s containers accrued meaningful demurrage charges, but Respondents note that TPG was well aware of the potential for the accrual of these charges due to high congestion levels at the Chicago rail yard. (RPFF ¶¶ 32-35.) The Shipment Chart is inadmissible hearsay and lacks foundation.

REPLY: The Shipment Chart is admissible pursuant to Federal Rules of Evidence 611(a). *See, e.g., Worldwide Relocations, Inc. et al - Possible Violations of Sections 8, 10, and 19 of the Shipping Act of 1984 and the Commission's Regulations at 46 C.F.R. §§ 515.3, 515.21, and 520.3, 2010 FMC LEXIS 45, *1, 2010 WL 11768817 *34-35 (F.M.C. Aug. 16, 2010) (admitting the shipment charts and supplemental shipment charts provided by BOE under Rule 611(a) to assist in organizing and reviewing the shipments).*

91. TPG had other shipments Epic and Omni were not handling coming in at the same ports, and was not seeing the same excessive demurrage charges from other providers, leading TPG

to conclude that port congestion could not be the culprit. (Basiri Dep. 27:9-12, 28:15-25, 29:1-8, Sept. 14, 2023, CApp10390.)

RESPONSE: Disputed. There is no evidence in the record, other than TPG’s self-serving and speculative testimony, that Respondents’ charges were greater than other providers’ charges. TPG never actually compared Respondents’ charges to another party performing transportation on the “same dates, same locations.” (Basiri Tr. 28:12-14 (CApp010390.) Epic is the party who performed the services on behalf of TPG. (Manzanarez Tr. at 13:18-23, 35:3-6, 36:14-19 (CApp010212, CApp010218); Ikemoto Tr. at 12:17-25 (CApp010292).)

REPLY: Respondents failed to refute the testimony by admissible evidence.

92. By December 7, 2021, TPG was still trying to obtain invoices with supporting documentation. (Email from Hernandez to Defillo-Stukes et al., Dec. 7, 2021, CApp10594-95 (“I’ve added notes to the excel sheet so you know what’s been sent to AP and what we are still pending documents for.”).)

RESPONSE: Disputed. Complainant ignores a later email, on December 21, 2021, where Basiri notes “I understand we have just about all the information being requested”. (CApp10637.)

93. On December 14, 2021, at least 30 invoices were still pending full documentation. (Emails between Hernandez and Ikemoto, Dec. 14, 2021, CApp10594.)

RESPONSE: Disputed. The cited email on December 14, 2021 states in its entirety, “All invoices that are pending PODs wont be processed until we receive the signed PODs. All other Invoices, Cynthia can assist you with payment status.” (CApp10594). Complainant ignores a later email, on December 21, 2021, where Basiri notes “I understand we have just about all the information being requested”. (CApp10637.)

REPLY: The document is in writing and speaks for itself.

94. On December 20, 2021, TPG was still asking for supporting documentation, such as congestion surcharge documents and taxes/duties. (Email from Hernandez and Ikemoto, Dec. 14, 2021, CApp10593.)

RESPONSE: Disputed. This proposed finding of fact is not relevant to the parties’ dispute, as TPG does not claim damages for congestion surcharges or taxes/duties. (CApp011019.) Complainant ignores a later email, on December 21, 2021, where Basiri notes “I understand we have just about all the information being requested”. (CApp10637.)

REPLY: The document is in writing and speaks for itself.

January and February 2022

95. TPG’s requests for additional information continued into January, when TPG again emailed Omni and Epic regarding missing documentation. (Email from Hernandez to Manzanarez et al., Jan. 5, 2022, CApp10589-90.)

RESPONSE: Disputed. The cited page of the appendix requests documents relating to charges that are not at issue in this dispute, including “pier pass fee doc[s],” “congestion surcharge fee doc[s],” “waiting time,” and “duties/taxes.” (Capp010590.) The cited email indicates only one request from TPG relating to demurrage documentation on the Bay Park project. (CApp10590.) The Bay Park project involved containers that were not shipped from a foreign country to a “port in the United States.” (RPFF ¶¶ 59-64.) Moreover, the charges are for rail demurrage accrued at a rail yard in Chicago (*Id.*), and TPG was well aware of the congestion at the rail yard in Chicago and the potential for such additional charges accruing. (RPFF ¶¶ 32-35.)

REPLY: The document is in writing and speaks for itself.

96. Omni and Epic were aware of the problems and their scope, and internally admitted that TPG was correct. For example, on January 6, 2022, Chen of Omni noted that there was an ongoing problem in providing supporting documentation. (Email from Chen to Manzanarez, Jan 6, 2022, CApp10588.)

RESPONSE: Partially disputed. Respondents were aware of TPG’s complaints, as indicated in the emails exchanged, but those complaints do not support a finding that there was an “ongoing problem in providing supporting documentation” as alleged by Complainant. Respondents did not “internally admit[] that TPG was correct.”

REPLY: The document is in writing and speaks for itself.

97. That same day, Yohanse Manzanarez stated in an internal email with respect to Omni and Epic’s problems providing TPG supporting documentation, “we [our team] has not managed this process well this past year.” (Email from Manzanarez to Chen, dated Jan. 6, 2022, CApp10587-88.)

RESPONSE: Respondents do not dispute that Mr. Manzanarez sent the quoted email, but dispute that the quoted email accurately conveys the entire context of the email in which the statement was made. Mr. Manzanarez does not indicate that supporting documentation was not provided to TPG (either initially or once requested in the audit process), but makes a statement that the “process” of complying with TPG’s “audit” was “not managed . . . well.” Thereafter, he explains that a “shared file program” allowed access to information and as a result, Basiri noted that he “had a stack of invoices that he was approving for payment next seek.” (CApp10588).

REPLY: The document is in writing and speaks for itself.

98. On January 7, 2022, Manzanarez added “Thompson is a great group and extremely transparent. They want to get current. We need to do a better job internally.” (Email from Manzanarez to Chen, Moran, and Reis, dated Jan. 7, 2022, CApp1058788.)

RESPONSE: Respondents do not dispute that Mr. Manzanarez sent the quoted email, but dispute that the quoted email accurately conveys the entire context of the email in which the statement was made, as explained in response to Paragraph 98, above.

REPLY: The document is in writing and speaks for itself.

99. Manzanarez, emphasized “John...this is our issue --- not Thompson. We are not notifying them about increases in pricing or billing properly. These are also the same requirements that they have had all along. Our team has mismanaged the account. This is not a Thompson issue.” (Email from Manzanarez to Moran dated Jan. 7, 2022, CApp10631.)

RESPONSE: Respondents do not dispute that Mr. Manzanarez sent the quoted email, but dispute that the quoted email accurately conveys the entire context of the email in which the statement was made. The “issue” that Mr. Manzanarez references has to do with the profitability of the TPG account. The previous email related to the fact that Epic “lost almost \$100K last year and they are no longer a quick pay.” (CApp10632).

REPLY: The document is in writing and speaks for itself.

100. He later stated again: “We have done a terrible job of managing this account.” (Email from Manzanarez to Moran dated Jan. 7, 2022, CApp10631.)

RESPONSE: Respondents do not dispute that Mr. Manzanarez sent the quoted email, but dispute that the quoted email accurately conveys the entire context in which the statement was made, as explained in response to Paragraph 100, above.

REPLY: The document is in writing and speaks for itself.

H. Demurrage Issues Return in February 2022

101. There were no problematic demurrage charges in January 2022. (*See* Shipment Chart, CApp11020.)

RESPONSE: Not disputed.

102. By February 8, 2022, however, significant demurrage charges began to appear on invoices again, with no supporting documentation. (*See* Shipment Chart, CApp11020.)

RESPONSE: Disputed. TPG’s invocation of the vague term “supporting documentation” renders Respondents unable to evaluate this proposition. For all such charges, Respondents provided proof of payment to a carrier or terminal. (Ikemoto Tr. at 73:6-10 (CApp010307).) Respondents did not customarily receive invoices from a carrier or terminal. (*Id.* at 132:19-25, 133:1-7 (CApp010322).) The Shipment Chart is inadmissible hearsay and lacks foundation.

REPLY: The document is in writing and speaks for itself.

103. Some demurrage charges were as high as \$5,468.21 with no supporting documentation. (*See* Shipment Chart, CApp11020.)

RESPONSE: Disputed. TPG’s invocation of the vague term “supporting documentation” renders Respondents unable to evaluate this proposition. For all such charges, Respondents provided proof of payment to a carrier or terminal. (Ikemoto Tr. at 73:6-10 (CApp010307).) Respondents did not

customarily receive invoices from a carrier or terminal. (*Id.* at 132:19-25, 133:1-7 (CApp010322).) The Shipment Chart is inadmissible hearsay and lacks foundation.

REPLY: The Shipment Chart is admissible pursuant to Federal Rules of Evidence 611(a). *See, e.g., Worldwide Relocations, Inc. et al - Possible Violations of Sections 8, 10, and 19 of the Shipping Act of 1984 and the Commission's Regulations at 46 C.F.R. §§ 515.3, 515.21, and 520.3, 2010 FMC LEXIS 45, *1, 2010 WL 11768817 *34-35 (F.M.C. Aug. 16, 2010) (admitting the shipment charts and supplemental shipment charts provided by BOE under Rule 611(a) to assist in organizing and reviewing the shipments).*

104. Problematic demurrage charges Epic and Omni incurred in February of 2022 on TPG's containers amounted to \$36,866.13. (*See* Shipment Chart, CApp11020.)

RESPONSE: Disputed. TPG's invocation of the vague term "supporting documentation" renders Respondents unable to evaluate this proposition. The Shipment Chart is inadmissible hearsay and lacks foundation.

REPLY: The Shipment Chart is admissible pursuant to Federal Rules of Evidence 611(a). *See, e.g., Worldwide Relocations, Inc. et al - Possible Violations of Sections 8, 10, and 19 of the Shipping Act of 1984 and the Commission's Regulations at 46 C.F.R. §§ 515.3, 515.21, and 520.3, 2010 FMC LEXIS 45, *1, 2010 WL 11768817 *34-35 (F.M.C. Aug. 16, 2010) (admitting the shipment charts and supplemental shipment charts provided by BOE under Rule 611(a) to assist in organizing and reviewing the shipments).*

105. Of those charges, Epic and Omni only provided supporting documentation from the port or carrier for \$25,427.78. (*See* Shipment Chart, CApp11020.)

RESPONSE: Disputed. TPG's invocation of the vague term "supporting documentation" renders Respondents unable to evaluate this proposition. For all such charges, Respondents provided proof of payment to a carrier or terminal. (Ikemoto Tr. at 73:6-10 (CApp010307).) Respondents did not customarily receive invoices from a carrier or terminal. (*Id.* at 132:19-25, 133:1-7 (CApp010322).) The Shipment Chart is inadmissible hearsay and lacks foundation.

REPLY: The Shipment Chart is admissible pursuant to Federal Rules of Evidence 611(a). *See, e.g., Worldwide Relocations, Inc. et al - Possible Violations of Sections 8, 10, and 19 of the Shipping Act of 1984 and the Commission's Regulations at 46 C.F.R. §§ 515.3, 515.21, and 520.3, 2010 FMC LEXIS 45, *1, 2010 WL 11768817 *34-35 (F.M.C. Aug. 16, 2010) (admitting the shipment charts and supplemental shipment charts provided by BOE under Rule 611(a) to assist in organizing and reviewing the shipments).*

I. March and April 2022 – Demurrage, Unsubstantiated Charges

107. By March 2022, the issues had not abated and the parties were having calls to sort out the issues. (*See* Email from Moran to unknown, dated March 31, 2022, CApp10684.)

RESPONSE: Partially disputed. Respondents dispute the vague reference to "issues had not abated" as it is not clear what "issues" Complainant reference. Respondents do not dispute that

they had frequent phone conversations and other communications with TPG to resolve the past due balance owed by TPG.

REPLY: None.

108. Port congestion charges were incorrectly billed, demurrage charges were incorrect, chassis and yard storage fees were incorrect, among other things. (See Email from Moran to unknown, dated March 31, 2022, CApp10684.)

RESPONSE: Disputed. The cited email does not demonstrate that “chassis and yard storage were incorrect.” Respondents also dispute the relevance of port congestion charges, which TPG does not seek as damages. (See Shipment Chart, CApp11020.)

REPLY: The document is in writing and speaks for itself.

109. In addition, demurrage charges continued accumulating on containers that Epic and Omni were not extracting timely, again as high as \$5,468.21. (See Shipment Chart, CApp11020; for example, Invoice 7203231 00.)

RESPONSE: Disputed. TPG provides no support for the assertion that Respondents “were not extracting [containers] timely.” Epic is the party who performed the services on behalf of TPG. (Manzanarez Tr. at 13:18-23, 35:3-6, 36:14-19 (CApp010212, CApp010218); Ikemoto Tr. at 12:17-25 (CApp010292).) The Shipment Chart is inadmissible hearsay and lacks foundation.

REPLY: The Shipment Chart is admissible pursuant to Federal Rules of Evidence 611(a). See, e.g., *Worldwide Relocations, Inc. et al - Possible Violations of Sections 8, 10, and 19 of the Shipping Act of 1984 and the Commission's Regulations at 46 C.F.R. §§ 515.3, 515.21, and 520.3*, 2010 FMC LEXIS 45, *1, 2010 WL 11768817 *34-35 (F.M.C. Aug. 16, 2010) (admitting the shipment charts and supplemental shipment charts provided by BOE under Rule 611(a) to assist in organizing and reviewing the shipments).

110. Problematic demurrage charges Epic and Omni incurred in March of 2022 on TPG’s containers grew to \$58,173.70. (See Shipment Chart, CApp11020.)

RESPONSE: Disputed. Respondents note that TPG shipped a particularly high volume of containers for which Respondents invoiced TPG in March 2022—73 containers. (See CApp011020, rows 328-401.) Accordingly, the average demurrage charge per container was \$796.90, which is not particularly “problematic” given the condition of the ports and terminals at the time. (See RPF 29-43.) The Shipment Chart is inadmissible hearsay and lacks foundation.

REPLY: The Shipment Chart is admissible pursuant to Federal Rules of Evidence 611(a). See, e.g., *Worldwide Relocations, Inc. et al - Possible Violations of Sections 8, 10, and 19 of the Shipping Act of 1984 and the Commission's Regulations at 46 C.F.R. §§ 515.3, 515.21, and 520.3*, 2010 FMC LEXIS 45, *1, 2010 WL 11768817 *34-35 (F.M.C. Aug. 16, 2010) (admitting the shipment charts and supplemental shipment charts provided by BOE under Rule 611(a) to assist in organizing and reviewing the shipments).

111. Epic and Omni were only able to provide supporting documentation from the carrier or terminal for said demurrage for \$14,570.00. (*See* Shipment Chart, CApp11020.)

RESPONSE: Disputed. TPG's invocation of the vague term "supporting documentation" renders Respondents unable to evaluate this proposition. For all such charges, Respondents provided proof of payment to a carrier or terminal. (Ikemoto Tr. at 73:6-10 (CApp010307).) Respondents did not customarily receive invoices from a carrier or terminal. (*Id.* at 132:19-25, 133:1-7 (CApp010322).) The Shipment Chart is inadmissible hearsay and lacks foundation.

REPLY: The Shipment Chart is admissible pursuant to Federal Rules of Evidence 611(a). *See, e.g., Worldwide Relocations, Inc. et al - Possible Violations of Sections 8, 10, and 19 of the Shipping Act of 1984 and the Commission's Regulations at 46 C.F.R. §§ 515.3, 515.21, and 520.3, 2010 FMC LEXIS 45, *1, 2010 WL 11768817 *34-35 (F.M.C. Aug. 16, 2010) (admitting the shipment charts and supplemental shipment charts provided by BOE under Rule 611(a) to assist in organizing and reviewing the shipments).*

112. On April 1, 2022, Mr. Ikemoto sent an internal email to Omni's International Account Manager, Brenda Quinones, detailing the issues the TPG account was having, which included errors in the information entered in the invoices, failure to communicate with TPG, failure to upload all the required documentation, and inaccuracy in container numbers, among other things. (Email from Ikemoto to Quinones, dated April 1, 2022, CApp10690-91.)

RESPONSE: Respondents do not dispute that Mr. Ikemoto addressed the TPG account with Mr. Quinones, but the email was sent in the context of a review of Ms. Quinones' employment performance and is not relevant to this dispute. This email substantiates Epic's dedication to process improvement and employee training and does not indicate a "systemic lack of organization" as Complainant contends in Paragraph 113, below. Further, the issues described are isolated. Mr. Ikemoto notes an error in a single bill of lading number, a single email that she failed to respond to, and a "handful" of containers had the incorrect numbers. (CApp10691).

REPLY: The document is in writing and speaks for itself.

113. The response to this email from Ms. Quinones further confirms Respondents' systemic lack of organization and that the personnel issues raised internally back in 2021 had not been remedied. (Email from Quinones to Ikemoto, dated April 1, 2022, CApp10689-90.)

RESPONSE: Disputed. An email sent in the context of Ms. Quinones' employment performance review does not evidence a "systemic lack of organization" on TPG's account, as Complainant contends. Ms. Quinones raised an issue relating to "organization" being "key to running smooth." (CApp10689-90.) The email makes no reference to "personnel issues" that date back to 2021.

REPLY: The document is in writing and speaks for itself.

114. Ms. Quinones reiterated, as Mr. Reis had noted in June 2021 ("finite amount of resources in personnel"), and as Mr. Ikemoto had previously done in October 2021, that "this is not a one person account. ... organization ... is very lacking , [sic] There are no standard operationg

[sic] procedures (SOP) ...” (Email from Quinones to Ikemoto, dated April 1, 2022, CApp10689-90.)

RESPONSE: Partially disputed. Respondents do not dispute that Ms. Quinones raised her personal concerns in the email , but the email was sent in the context of a review of Ms. Quinones’ employment performance. The cited email is not related at all to any prior email by Mr. Reis in June 2021. Moreover, Mr. Ikemoto explained to Ms. Quinones that an SOP would not assist her since the TPG shipments were always different. (Ikemoto Dep. 111:1-24 (CApp010317).)

REPLY: The document is in writing and speaks for itself.

115. Ms. Quinones noted that she “asked for help. Personnel was assigned and then removed several times. Training someone takes time away from my day to only have the person removed from the account within a weeks time.” (*Id.*)

RESPONSE: Partially disputed. Respondents do not dispute that Ms. Quinones raised her personal concerns in the email , but the email was sent in the context of a review of Ms. Quinones’ employment performance. Mr. Ikemoto explained that he and three other employees were supporting her. (Ikemoto Dep. 108:21-109:7 (CApp010316).)

REPLY: The document is in writing and speaks for itself.

116. She also identified concerns with agents Omni was using in Colombia and slow payment by Omni which led to problems with truckers. (*Id.*)

RESPONSE: Partially disputed. Respondents do not dispute that Ms. Quinones raised her personal concerns in the email, but the email was sent in the context of a review of Ms. Quinones’ employment performance. The concerns raised relating to an agent in Columbia was nothing she was able to substantiate. (Ikemoto Dep. 108:5-16 (CApp010316).) She states nothing in the email regarding “problems with truckers.” (CApp10689-90.)

REPLY: The document is in writing and speaks for itself.

117. Simultaneously, substantial demurrage charges were again escalating, sometimes exceeding \$15,000 on a single container. (Shipment Chart, CApp11020, invoice 7205689 00.)

RESPONSE: Partially disputed. It is not clear what “again escalating” refers to, nor to what time period this statement refers. The Shipment Chart is inadmissible hearsay and lacks foundation.

REPLY: The Shipment Chart is admissible pursuant to Federal Rules of Evidence 611(a). *See, e.g., Worldwide Relocations, Inc. et al - Possible Violations of Sections 8, 10, and 19 of the Shipping Act of 1984 and the Commission's Regulations at 46 C.F.R. §§ 515.3, 515.21, and 520.3, 2010 FMC LEXIS 45, *1, 2010 WL 11768817 *34-35 (F.M.C. Aug. 16, 2010) (admitting the shipment charts and supplemental shipment charts provided by BOE under Rule 611(a) to assist in organizing and reviewing the shipments).*

118. Problematic demurrage charges Epic and Omni incurred in April of 2022 on TPG's containers grew to \$114,029.01. (See Shipment Chart, CApp11020.)

RESPONSE: Partially disputed. TPG's use of the word "problematic" is undefined and so vague as to be meaningless. Respondents also note that TPG shipped a particularly high volume of containers (137) for which Respondents issued invoices in April. (CApp11020, rows 402-539.) This amounts to an average of \$832.33 of demurrage per container, which is reasonable given the condition of the ports at the time. (See RPFF ¶¶ 29-43.) The Shipment Chart is inadmissible hearsay and lacks foundation.

REPLY: The Shipment Chart is admissible pursuant to Federal Rules of Evidence 611(a). *See, e.g., Worldwide Relocations, Inc. et al - Possible Violations of Sections 8, 10, and 19 of the Shipping Act of 1984 and the Commission's Regulations at 46 C.F.R. §§ 515.3, 515.21, and 520.3, 2010 FMC LEXIS 45, *1, 2010 WL 11768817 *34-35 (F.M.C. Aug. 16, 2010) (admitting the shipment charts and supplemental shipment charts provided by BOE under Rule 611(a) to assist in organizing and reviewing the shipments).*

119. Epic and Omni were only able to provide supporting documentation from the carrier or terminal for said demurrage for \$24,800 of the \$114,029.01. (See Shipment Chart, CApp11020.)

RESPONSE: Disputed. TPG's invocation of the vague term "supporting documentation" renders Respondents unable to evaluate this proposition. For all such charges, Respondents provided proof of payment to a carrier or terminal. (Ikemoto Tr. at 73:6-10 (CApp010307).) Respondents did not customarily receive invoices from a carrier or terminal. (*Id.* at 132:19-25, 133:1-7 (CApp010322).) The Shipment Chart is inadmissible hearsay and lacks foundation.

REPLY: The Shipment Chart is admissible pursuant to Federal Rules of Evidence 611(a). *See, e.g., Worldwide Relocations, Inc. et al - Possible Violations of Sections 8, 10, and 19 of the Shipping Act of 1984 and the Commission's Regulations at 46 C.F.R. §§ 515.3, 515.21, and 520.3, 2010 FMC LEXIS 45, *1, 2010 WL 11768817 *34-35 (F.M.C. Aug. 16, 2010) (admitting the shipment charts and supplemental shipment charts provided by BOE under Rule 611(a) to assist in organizing and reviewing the shipments).*

120. Further, in April of 2022 Epic and Omni incurred over \$63,000 in chassis charges, with some containers incurring over \$7,000 a piece in chassis charges and over \$15,000 in storage charges. (See Shipment Chart, CApp11020.)

RESPONSE: Disputed. These charges were unequivocally incurred as a direct result of TPG's customer's refusal to accept deliver of cargo for over five (5) months, and TPG's own inability or unwillingness to make alternative arrangements. (RPFF at ¶¶ 67-88; Basiri Tr. at 93:18-20 (CApp0104016) ("[This was an issue we had on our jobsite. It had nothing to with Epic or Omni.]) Epic is the party who performed the services on behalf of TPG. (Manzanarez Tr. at 13:18-23, 35:3-6, 36:14-19 (CApp010212, CApp010218); Ikemoto Tr. at 12:17-25 (CApp010292).) The Shipment Chart is inadmissible hearsay and lacks foundation.

REPLY: The document is in writing and speaks for itself. TPG issued Purchase Orders to Omni and not Epic starting at least July 2021 (CApp010204.) Invoices to TPG were issued by Omni

starting from about January 2022. (See Appendix Vol. VII, Shipping Chart, Column C). Attached as Exhibit A is a list of 617 invoices issued to TPG by Omni. The list is admissible pursuant to Federal Rules of Evidence 611(a). See, e.g., *Worldwide Relocations, Inc. et al - Possible Violations of Sections 8, 10, and 19 of the Shipping Act of 1984 and the Commission's Regulations at 46 C.F.R. §§ 515.3, 515.21, and 520.3*, 2010 FMC LEXIS 45, *1. [WESTLAW] (admitting the shipment charts and supplemental shipment charts provided by BOE under Rule 611(a) to assist in organizing and reviewing the shipments). Further, by way of context, key employees of Epic became employees of Omni as of at least April 2021. (Manzanarez Dep. 14:9-16, CApp010213 (admitting he signed an agreement with Omni in April of 2021 stating he is no longer an employee of Epic, and that he was, from then on, an employee of Omni).) Manzanarez became Omni's Executive Vice President of Sales. (Manzanarez Dep. 15:2-10, CApp010213.) John Moran was CEO of Epic and became regional president of Omni. (Manzanarez Dep. 16:1-25, CApp010213.) Accordingly, Epic business decisions were being made by Omni personnel and the two entities were not operating as distinct entities but as one.

121. On April 5, 2022, Omni created a “standard operating procedures” (“SOP”) document for TPG's shipments. (Email from Manzanarez to unknown, dated April 5, 2022, CApp011015.)

RESPONSE: Disputed. Epic created the SOP. (Ikemoto Tr. at 113:16-22 (CApp010317).)

REPLY: The document is in writing and speaks for itself.

122. The SOP specifically stated implemented a 5% markup on pass through costs. (Email from Manzanarez to unknown, dated April 5, 2022, CApp011015.)

RESPONSE: Partially disputed. Respondents concede that the SOP referenced the 5% administrative fee for pass-through costs, but Respondents dispute that the SOP “implemented” this fee. Rather, it was implemented in January 2022. (Manzanarez Declaration at ¶¶ 13, RApp2, 15-16, RApp 3; EPIC_0044271, RApp263; EPIC_0030667, RApp225 (March 15, 2022 email from Mr. Basiri to Mr. Manzanarez: “You and I discussed starting to add 5% admin fee for pass through charges.”).)

REPLY: The document is in writing and speaks for itself.

123. Omni refused to share the SOP or the 5% markup with TPG. (Email from Manzanarez to Holland, Ikemoto, Moran, Quinones, Milla, dated April 5, 2022, CApp011014.)

RESPONSE: Disputed. TPG cites to no evidence in the record demonstrating that TPG ever requested the SOP, and there is no reason why Respondents would be obligated to share the SOP—an internal document—with TPG. Respondents did not “refuse to share” the 5% administrative fee with TPG. (Manzanarez Declaration at ¶¶ 13, RApp2, 15-16, RApp3; EPIC_0044271, RApp263; EPIC_0030667, RApp225 (March 15, 2022 email from Mr. Basiri to Mr. Manzanarez: “You and I discussed starting to add 5% admin fee for pass through charges.”).)

REPLY: The document is in writing and speaks for itself.

J. May 2022 – Additional Unnecessary Demurrage, Unsubstantiated Charges

124. By early May 2022 the situation was becoming dire and substantial unreasonable demurrage charges were mounting. (Email from Basiri to Manzanarez, dated May 11, 2022, CApp10717-18.)

RESPONSE: Respondents dispute that the situation was “becoming dire” and that demurrage charges were “unreasonable.” Respondents invoiced TPG for 196 containers in May 2022. (See CApp11020, rows 540-736.) Demurrage was the result of the condition of the ports and terminals at the time. (EPIC_0034005, RApp251.)

REPLY: The document is in writing and speaks for itself.

125. Problematic demurrage charges Epic and Omni incurred in May of 2022 on TPG’s containers swelled to \$206,139.47. (See Shipment Chart, CApp11020.)

RESPONSE: Partially disputed. TPG’s use of the word “problematic” is undefined and so vague as to be meaningless. Respondents also note that TPG shipped a particularly high volume of containers for which Respondents issued invoices in May 2022—196 containers. (See CApp11020, rows 540-736.) Accordingly, the average demurrage charge per container during this time period was only \$1,051.73, which is not unreasonable given the condition of the ports and terminals at the time. (See RPFF ¶¶ 29-43.) Epic is the party who performed the services on behalf of TPG. (Manzanarez Tr. at 13:18-23, 35:3-6, 36:14-19 CApp010212, CApp010218; Ikemoto Tr. at 12:17-25 (CApp010292).) The Shipment Chart is inadmissible hearsay and lacks foundation.

REPLY: The Shipment Chart is admissible pursuant to Federal Rules of Evidence 611(a). See, e.g., *Worldwide Relocations, Inc. et al - Possible Violations of Sections 8, 10, and 19 of the Shipping Act of 1984 and the Commission's Regulations at 46 C.F.R. §§ 515.3, 515.21, and 520.3*, 2010 FMC LEXIS 45, *1, 2010 WL 11768817 *34-35 (F.M.C. Aug. 16, 2010) (admitting the shipment charts and supplemental shipment charts provided by BOE under Rule 611(a) to assist in organizing and reviewing the shipments). The document is in writing and speaks for itself.

126. Epic and Omni were only able to provide supporting documentation from the carrier or terminal for said demurrage for \$55,247.30. (See Shipment Chart, CApp11020.)

RESPONSE: Disputed. TPG’s invocation of the vague term “supporting documentation” renders Respondents unable to evaluate this proposition. For all such charges, Respondents provided proof of payment to a carrier or terminal. (Ikemoto Tr. at 73:6-10 (CApp010307).) Respondents did not customarily receive invoices from a carrier or terminal. (Id. at 132:19-25, 133:1-7 (CApp010322).) The Shipment Chart is inadmissible hearsay and lacks foundation.

REPLY: The Shipment Chart is admissible pursuant to Federal Rules of Evidence 611(a). See, e.g., *Worldwide Relocations, Inc. et al - Possible Violations of Sections 8, 10, and 19 of the Shipping Act of 1984 and the Commission's Regulations at 46 C.F.R. §§ 515.3, 515.21, and 520.3*, 2010 FMC LEXIS 45, *1, 2010 WL 11768817 *34-35 (F.M.C. Aug. 16, 2010) (admitting

the shipment charts and supplemental shipment charts provided by BOE under Rule 611(a) to assist in organizing and reviewing the shipments).

127. By May 6, 2022, TPG informed Omni and Epic that TPG was going to engage a third party to “assist [Omni] because Omni was proving incapable of getting the containers released and the chassis returned.” (Basiri Decl. ¶ 23; Email from Basiri to Manzanarez, dated May 13, 2022, CApp10713-14.)

128.

RESPONSE: Respondents do not dispute that this statement was made, but Respondents dispute that it accurately characterizes the situation.

REPLY: The document is in writing and speaks for itself.

129. On or about May 7, 2022, TPG engaged MCM Transportation to assist Omni in pulling containers. (Basiri Decl. ¶ 23.)

RESPONSE: Not disputed.

REPLY: None.

130. TPG put Epic and Omni directly in touch with MCM Transportation to avoid paying double demurrage charges. (Email from Heaton to Ikemoto and Murillo, dated May 11, 2022, CApp10693-99.)

RESPONSE: Not disputed.

REPLY: None.

131. TPG noted to Omni and Epic on May 11, 2022, that its “main focus has been to find a remedy for all the containers that were at New Jersey Port subject to demurrage and other charges that Omni failed to deliver to our client in a reasonable time frame. ... At one point in the near future, we will have to have a broader conversation on who’s [sic] liability, [sic] the demurrage charges will have to fall under.” (Email from Basiri to Manzanarez, dated May 11, 2022, CApp10717.)

RESPONSE: Partially disputed. Respondents do not dispute that this statement was made, but Respondents dispute that it accurately characterizes the situation.

REPLY: The document is in writing and speaks for itself.

132. TPG identified a certain number of containers that it would request MCM Transportation to remove from the port, and while Omni acknowledged TPG’s communication, Omni still made movement appointments for the containers contrary to TPG’s instructions, and consequently wrongly informed the third party that the appointments had been cancelled. (Bezaad Decl. ¶ 23.)

RESPONSE: Disputed. Epic made movement appointments for containers prior to receiving any instruction otherwise. (Ikemoto Tr. at 115:9-25; 116:1-6.)

REPLY: The testimony speaks for itself.

133. Nevertheless, MCM Transportation was able to pull TPG's approximately 25 containers by May 10, 2022, while Omni and Epic had lagged causing TPG to incur demurrage unnecessarily. (Email from Murillo to Holland, dated May 13, 2022, CApp10693-99; Email from Basiri to Manzanarez, dated May 13, 2022, CApp10710-12; Basiri Dep. 28:15-25, 29:1-8 (Sept. 14, 2023) CApp10390.)

RESPONSE: Disputed. The statement by Mr. Basiri is inaccurate. (Ikemoto Tr. at 115:9-25; 116:1-6.)

REPLY: The testimony speaks for itself.

134. Simultaneously, on May 12, 2022, Omni and Epic wrote to TPG, stating "claiming [Omni and Epic] were negligent ... does not excuse any payment obligations." (Email from Manzanarez to Basiri, dated May 12, 2022, CApp10713.)

RESPONSE: Not disputed.

REPLY: None.

135. Manzanarez further stated that Omni and Epic believed it to be an option to withhold containers until full payment was made. (Email from Manzanarez to Basiri, dated May 12, 2022, CApp10714 (stating "Thompson Pipe will pay account in full prior to last container being delivered."))

RESPONSE: Not disputed.

REPLY: None.

136. TPG responded in detail, stating that "Omni show[s] no concern for the egregious [demurrage] that TPG has been subject to on an ongoing basis." (Email from Basiri to Manzanarez, dated May 13, 2022, CApp10711.)

RESPONSE: Respondents do not dispute that this statement was made, but Respondents dispute that it accurately characterizes the situation.

REPLY: The document is in writing and speaks for itself.

137. On May 17, 2022, Omni wrote to TPG, stating "No additional freight for TPG will be delivered until Omni receives the \$1.7 Million owed for freight handled and delivered." (Email from Heathcock to Basiri, dated May 17, 2022, CApp10705.)

RESPONSE: Not disputed.

REPLY: None.

138. The email further stated “After the \$1.7M is received, we will deliver the remaining 81 containers or so as they arrive on a ‘cash’ basis paid and received in advance.” (Email from Heathcock to Basiri, dated May 17, 2022, CApp10705.) TPG paid \$361,094.39 and then another \$417,000, sums it disputes, to get the cargo flowing again. (Basiri Decl.26.) In the meantime, Omni’s and Epic’s actions caused real harm to TPG because they prevented TPG from pulling containers. (See Ex. D. to First. Am. V. Compl., CApp10546.)

RESPONSE: Respondents dispute that their actions caused TPG any “real harm.” None of the cited evidence demonstrates that Respondents prevented TPG from pulling containers, and none of the cited evidence demonstrates that Respondents actually withheld any containers. Demurrage was paid through May 10, 2022 for the only containers TPG alleges were actually withheld, so no act of Respondents caused any demurrage to accrue. (EPIC_0026753-55, RApp179-181.)

REPLY: The document is in writing and speaks for itself.

K. Excessive Demurrage

139. Respondents did not provide TPG any information concerning whether Respondents investigated if the demurrage charges had been properly assessed, or why Respondents had such trouble obtaining appointments to pull containers. (Basiri Dep. 26:2-25, 27:1-22, 29:2-25, 30:1-25, 31:11-22, 76:1-21; 77:17-25, Sept. 14, 2023, CApp10390-91, 10402.)

RESPONSE: Disputed. Respondents always investigated to determine whether demurrage charges had been properly assessed. (Ikemoto Tr. at 57:23-25, 58:1-2 (CApp010303-04).)

REPLY: Respondents failed to refute evidence that they failed to provide TPG with information whether they investigated if the demurrage charges had been properly assessed.

140. TPG continuously asked Respondents why they were unable to pick up containers, but never received a response. (*Id.*)

RESPONSE: Disputed. Respondents communicated frequently with TPG about the status of TPG’s shipments the availability of TPG’s cargo. (Ikemoto Tr. at 127:1-9 (CApp010321).)

REPLY: The document is in writing and speaks for itself.

141. Respondents also did not provide information about start of free time or when that free time would expire. (Basiri Dep. 89:10-12, Sept. 14, 2023, CApp10405.)

RESPONSE: Disputed. Respondents frequently communicated to TPG information about free time made diligent efforts to pull TPG’s container prior to the expiration of free time. (EPIC_0049365, RApp263); Heaton Tr. at 72:7-25, RApp25 (Epic’s Representative “[a]dvised[d]

both customer and myself about the free time. And then in this email thread . . . he sidebars the potential fees to me.”); FMC_C00046874, RApp356.)

REPLY: The testimony speaks for itself.

142. Respondents did not ultimately provide the documentation that TPG requested and needed for processing the Respondents’ invoices. (Basiri Dep. 85:20-25; 86: 1-25; 87: 1-17, Sept. 14, 2023, CApp10404-10405.)

RESPONSE: Disputed. Respondents provided TPG the receipt reflecting proof of payment of the charge. (Ikemoto Tr. at 73:6-10 (CApp010307).) Respondents did not receive demurrage invoices from marine terminals or ports. (*Id.* at 132:19-25, 133:1-7 (CApp010322).) Respondents provided in-gate and out-gate tickets, reflecting when a container was pulled from the terminal and when the empty container was returned, which enabled TPG to confirm the daily chassis and storage fees. (Ikemoto Tr. at 69:20-25 (CApp010306).) Respondents provided TPG with proofs of delivery, which “confirm that the actual freight was delivered and signed off by [TPG’s customers’] jobsite.” (*Id.*)

REPLY: The document is in writing and speaks for itself. Respondents failed to provide evidence supporting their contention that they provided the requested information to TPG.

L. June 2022

143. Even after June 16, 2022, when OSRA was enacted, the invoices Respondents issued to TPG lacked the required information under the new regulation. (*See* Shipment Chart, CApp11020, invoices issued after OSRA.)

RESPONSE: Disputed. Respondents simply passed through charges from VOCCs and MTOs (Manzanarez Declaration at ¶¶ 8-9), and to the extent the invoices did not contain the required information, it is because Respondents never received the required information from third parties. The Shipment Chart is inadmissible hearsay and lacks foundation.

REPLY: Respondents failed to refute evidence that the invoices at issue lacked the requisite information.

144. Invoices Respondents issued after OSRA was enacted contain \$59,789.47 in demurrage charges. (*See* Shipment Chart, CApp11020.)

RESPONSE: Disputed. TPG’s Shipment Chart contains a total of \$24,337.26 in demurrage charges that were assessed to TPG after June 16, 2022. (*See* CApp. Vol. VII, rows 855-902, Column Y Demurrage Charges.) The Shipment Chart is inadmissible hearsay and lacks foundation.

REPLY: The Shipment Chart is admissible pursuant to Federal Rules of Evidence 611(a). *See, e.g., Worldwide Relocations, Inc. et al - Possible Violations of Sections 8, 10, and 19 of the Shipping Act of 1984 and the Commission's Regulations at 46 C.F.R. §§ 515.3, 515.21, and 520.3*, 2010 FMC LEXIS 45, *1, 2010 WL 11768817 *34-35 (F.M.C. Aug. 16, 2010) (admitting the shipment charts and supplemental shipment charts provided by BOE under Rule 611(a) to assist in organizing and reviewing the shipments).

1. Damages

145. The invoices that are the subject of this action are identified in the Shipment Chart filed herewith (CApp11020) and an analysis of the documents TPG provided to support the invoice charges is attached hereto as Exhibit A.

RESPONSE: This is not a factual proposition, but Respondents dispute the authenticity, accuracy, completeness, meaning, weight, and significance of the information in the Shipment Chart and otherwise dispute the Shipment Chart for all of the reasons stated in the Respondent's Response Brief at pages 30-33.

REPLY: The Shipment Chart is admissible pursuant to Federal Rules of Evidence 611(a). *See, e.g., Worldwide Relocations, Inc. et al - Possible Violations of Sections 8, 10, and 19 of the Shipping Act of 1984 and the Commission's Regulations at 46 C.F.R. §§ 515.3, 515.21, and 520.3, 2010 FMC LEXIS 45, *1, 2010 WL 11768817 *34-35 (F.M.C. Aug. 16, 2010) (admitting the shipment charts and supplemental shipment charts provided by BOE under Rule 611(a) to assist in organizing and reviewing the shipments).*

145. The following columns merit further explanation:

- a. Y: Demurrage charge amount listed on Epic's or Omni's invoice to TPG.
- b. AA: Demurrage charge amount listed on the invoice of the entity (carrier, port) assessing demurrage.
- c. AC: Whether documents show a credit card payment, and in what amount
- d. AD: The sum paid for demurrage according to a receipt for credit card payment, if any.

RESPONSE: This is not a factual proposition, but Respondents dispute the authenticity, accuracy, completeness, meaning, weight, and significance of the information in the Shipment Chart and otherwise dispute the Shipment Chart for all of the reasons stated above and in Respondent's Response Brief at pages 30-33.

REPLY: The Shipment Chart is admissible pursuant to Federal Rules of Evidence 611(a). *See, e.g., Worldwide Relocations, Inc. et al - Possible Violations of Sections 8, 10, and 19 of the Shipping Act of 1984 and the Commission's Regulations at 46 C.F.R. §§ 515.3, 515.21, and 520.3, 2010 FMC LEXIS 45, *1, 2010 WL 11768817 *34-35 (F.M.C. Aug. 16, 2010) (admitting*

the shipment charts and supplemental shipment charts provided by BOE under Rule 611(a) to assist in organizing and reviewing the shipments).

146. Respondents invoices a total of \$546,445.69 of demurrage to TPG. (See Shipment Chart, CApp11020; Damages Chart, CApp11019.)

RESPONSE: The charges are not disputed, but Respondents dispute that Complainant is entitled to reparations for these charges.

REPLY: Respondents do not refute the amount of charges.

147. \$93,335.34 of demurrage charges have been supported by carrier or port invoices. (See Shipment Chart, CApp11020.)

RESPONSE: Disputed. For all demurrage charges, Respondents provided proof of payment to a carrier or terminal. (Ikemoto Tr. at 73:6-10 (CApp010307).) Respondents did not customarily receive invoices from a carrier or terminal, but has provided them when they are available. (*Id.* at 132:19-25, 133:1-7 (CApp010322).) Respondents dispute that Complainant is entitled to reparations for these charges. Regardless of the fact that TPG admits that at least \$93,335.34 of demurrage charges are supported to TPG's satisfaction, it remarkable maintains that these charges are part of TPG's damages. The Shipment Chart is inadmissible hearsay and lacks foundation.

REPLY: The Shipment Chart is admissible pursuant to Federal Rules of Evidence 611(a). *See, e.g., Worldwide Relocations, Inc. et al - Possible Violations of Sections 8, 10, and 19 of the Shipping Act of 1984 and the Commission's Regulations at 46 C.F.R. §§ 515.3, 515.21, and 520.3, 2010 FMC LEXIS 45, *1, 2010 WL 11768817 *34-35 (F.M.C. Aug. 16, 2010) (admitting the shipment charts and supplemental shipment charts provided by BOE under Rule 611(a) to assist in organizing and reviewing the shipments).*

148. Respondents invoiced a total of \$139,728.19 in storage charges to TPG. (See Shipment Chart, CApp11020.)

RESPONSE: The charges are not disputed, but Respondents dispute that Complainant is entitled to reparations for these charges.

REPLY: Respondents do not refute the amount of charges.

149. Respondents invoiced a total of \$161,538.75 in chassis charges to TPG. (See Shipment Chart, CApp11020.)

RESPONSE: The charges are not disputed, but Respondents dispute that Complainant is entitled to reparations for these charges.

REPLY: Respondents do not refute the amount of charges.

150. Respondents' withholding of containers beginning on May 17, 2022 caused TPG damages for demurrage and other charges \$18,367.10. (See Shipment Chart, CApp11020.)

RESPONSE: Disputed. The demurrage charges for the containers that TPG alleges were withheld were paid May 10, 2022, *before* Respondents allegedly withheld cargo (or even threatened to do so. (EPIC_0026753-55, RApp179-80.)

REPLY: The document is in writing and speaks for itself.

Dated: April 9, 2023

Respectfully submitted,

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CERTIFICATE OF SERVICE

I certify that on April 9, 2024, a true and correct copy of the foregoing document was served by email on all counsel of record in accordance with 46 CFR Part 502 and the Commission's Initial Order of December 6, 2022, as follows:

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